BANK MELLAT, MERKEZİ: TAHRAN-İRAN İSTANBUL TÜRKİYE MERKEZ, ANKARA VE İZMİR ŞUBELERİ

INDEPENDENT AUDITOR'S REPORT, UNCONSOLIDATED FINANCIAL STATEMENTS AND NOTES FOR THE YEAR ENDED DECEMBER 31, 2010

Translated into English from the Original Turkish Report

CONVENIENCE TRANSLATION OF
THE INDEPENDENT AUDITOR'S REPORT
ORIGINALLY PREPARED AND ISSUED IN TURKISH

To the Board of Managers of Bank Mellat Merkezi: Tahran-İran İstanbul Türkiye Merkez, Ankara ve İzmir Şubeleri:

We have audited the accompanying unconsolidated balance sheet of Bank Mellat Merkezi: Tahran-İran İstanbul Türkiye Merkez, Ankara ve İzmir Şubeleri ("the Branch") as at December 31, 2010 and the related statements of income, cash flows and changes in equity for the year then ended and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

The Branch's Board of Managers is responsible for the preparation and fair presentation of the financial statements in accordance with the regulation on "Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated November 1, 2006 and numbered 26333 and Turkish Accounting Standards ("TAS"), Turkish Financial Reporting Standards ("TFRS") and other regulations, circulars, communiqués and pronouncements in respect of accounting and financial reporting made by Banking Regulation and Supervision Agency ("BRSA"). This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the regulation on "Licensing and Operations of Audit Firms in Banking" published in the Official Gazette no: 26333 on November 1, 2006 and the International Standards on Auditing. We planned and performed our audit to obtain reasonable assurance whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the consideration of the effectiveness of internal control and appropriateness of accounting policies applied relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Independent Auditor's Opinion

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Bank Mellat Merkezi: Tahran-İran İstanbul Türkiye Merkez, Ankara ve İzmir Şubeleri as at December 31, 2010 and the results of its operations and its cash flows for the year then ended in accordance with the prevailing accounting principles and standards set out as per the Article 37 of the Banking Act No: 5411, and other regulations, communiqués and circulars in respect of accounting and financial reporting and pronouncements made by BRSA.

Other Issue:

The financial statements of the Branch for the year ended December 31, 2009 were audited by another auditor who expressed an unmodified opinion on those statements on April 1, 2010.

Additional paragraph for English translation:

The effect of the differences between the accounting principles summarized in Section 3 and the accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Financial Reporting Standards (IFRS) have not been quantified and reflected in the accompanying financial statements. The accounting principles used in the preparation of the accompanying financial statements differ materially from IFRS. Accordingly, the accompanying financial statements are not intended to present the Bank's financial position and results of its operations in accordance with accounting principles generally accepted in such countries of users of the financial statements and IFRS.

DRT BAĞIMSIZ DENETİM VE SERBEST MUHASEBECİ MALİ MÜŞAVİRLİK A.Ş.
Member of **DELOITTE TOUCHE TOHMATSU LIMITED**

Sibel Türker
Partner, SMMM

İstanbul, April 20, 2011

THE UNCONSOLIDATED FINANCIAL REPORT OF BANK MELLAT MERKEZİ: TAHRAN-İRAN İSTANBUL TÜRKİYE MERKEZ, ANKARA VE İZMİR ŞUBELERİ AS OF DECEMBER 31, 2010

Headquarter's Address	:	Taleghani Avenue. No: 327 Tehran-Iran
Turkey Main Branch Address	:	Büyükdere Cd. Binbirçiçek Sk. No.1 34330 1.Levent-İstanbul/Türkiye
Telephone	:	(0212) 279 80 15
Fax	:	(0212) 284 62 14
Website	:	www.mellatbank.com
E-mail address	:	mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS
- OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in thousands of Turkish Lira, in accordance with the Communique on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.

Younes Hormozi Sheikh Tabagh	Keramatallah Ahmadzadeh	Ahmet Arıöz	Hodjatollah Sheikhaleslami
Chairman of the Board of Managers	Member of the Board of Managers and Deputy of General Manager	Member of the Board of Managers and Internal Systems Executive	Member of the Board of Managers

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title : Yener Bozkurt / Accounting Department Chief
Phone No : (0212) 279 80 15
Fax No : (0212) 284 62 14

SECTION ONE
GENERAL INFORMATION

SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS

SECTION THREE
EXPLANATIONS ON ACCOUNTING POLICIES

SECTION FOUR
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EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

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SECTION SEVEN
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Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION ONE

GENERAL INFORMATION

I. INFORMATION ON THE BRANCH'S DATE OF FOUNDATION, INITIAL STATUS, BRANCH'S SHORT HISTORY WHICH COMPRISES OF CHANGES IN INITIAL STATUS:

Bank Mellat Merkezi: Tahran-İran İstanbul Türkiye Merkez, Ankara ve İzmir Şubeleri ("the Branch"), which is based in Tehran, Iran, established its branches in Istanbul, Ankara and Izmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after securing permission from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S CAPITAL STRUCTURE, SHAREHOLDERS OF THE BRANCH WHO ARE IN CHARGE OF THE MANAGEMENT AND/OR AUDITING OF THE BRANCH DIRECTLY OR INDIRECTLY, CHANGES IN THESE MATTERS (IF ANY) AND THE GROUP THE BRANCH BELONGS TO:

Capital owner of the Branch, Bank Mellat Tehran, Iran's partnership structure is presented below:

Shareholders	**Share Percentage (%)**
Justice share recipients (provincial investors)	30,00
Islamic Republic of Iran	24,00
Social Security Organisation of Iran	9,99
Bank Mellat's staff future security fund	5,89
Saba Tamin Investment Co.	5,45
Privatization Organisation	5,00
Other Shares Quoted on Stock Exchange	19,67
Total	**100,00**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

GENERAL INFORMATION (Continued)

III. EXPLANATION ON THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, IF AVAILABLE CHANGES IN THIS SUBJECT AND SHARES OF THE BRANCH THEY POSSESS:

Title	Name	Responsibility	Education Level
Chairman of the Board of Managers:	Younes Hormozi Sheikh Tabagh	Chairman	Under Graduate
Members of Board of Managers:	Keramatallah Ahmadzadeh	Deputy of General Manager	Under Graduate
	Ahmet Arıöz	Vice General Manager.	Under Graduate
	Hodjatollah Sheikhaleslami	Ankara Branch Manager	Graduate
Assistant General Managers:	Ahmet Arıöz	Internal Control and Responsible of Audit Risk Management	Under Graduate
	Keramatallah Ahmadzadeh	Import, Export and Transactions Banking	Under Graduate
	Ahmad Jamehdor	Financial Controlling and Planning Human Resources Treasury	Under Graduate
	Mohammad Reza Rezaei Pour	Current Accounts, Teller, Loans and Intelligence	Under Graduate

The individuals above do not possess shares in the Branch.

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES:

Name/Commercial title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
Justice share recipients (provincial investors)	16.097	%30,00	16.097	-
Islamic Republic of Iran	12.877	%24,00	12.877	-
Social Security Organisation of Iran	5.360	%9,99	5.360	-
Bank Mellat's staff future security fund	3.160	%5,89	3.160	-
Saba Tamin Investment Co.	2.924	%5,45	2.924	-
Privatization Organisation	2.683	%5,00	2.683	-
Other Shares Quoted on Stock Exchange	10.554	%19,67	10.554	-

V. BRIEF INFORMATION ON THE BRANCH'S SERVICE TYPE AND FIELDS OF OPERATION:

The Branch operates in banking services and its core business activity is the financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

As of December 31, 2010, the Branch has 51 employees (December 31, 2009: 51 employees).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS

I. BALANCE SHEET

	ASSETS	Note	31 December 2010			31 December 2009		
			TL	FC	Total	TL	FC	Total
I.	CASH AND BALANCES WITH CENTRAL BANK	(I-a)	10.622	151.085	161.707	78	30.897	30.975
II.	FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)	(I-b)	-	-	-	-	-	-
2.1	Trading Financial Assets		-	-	-	-	-	-
2.1.1	Public Debt Securities		-	-	-	-	-	-
2.1.2	Share Certificates		-	-	-	-	-	-
2.1.3	Trading Derivative Financial Assets		-	-	-	-	-	-
2.1.4	Other Marketable Securities		-	-	-	-	-	-
2.2	Financial Assets Designated at Fair Value through Profit or Loss		-	-	-	-	-	-
2.2.1	Public Debt Securities		-	-	-	-	-	-
2.2.2	Share Certificates		-	-	-	-	-	-
2.2.3	Loans		-	-	-	-	-	-
2.2.4	Other Marketable Securities		-	-	-	-	-	-
III.	BANKS	(I-c)	119.019	236.016	355.035	24.988	72.328	97.316
IV.	MONEY MARKETS		34.001	-	34.001	-	-	-
4.1	Interbank Money Market Placements		34.001	-	34.001	-	-	-
4.2	Receivables from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Receivables from Reverse Repurchase Agreements		-	-	-	-	-	-
V.	AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)	(I-d)	133.883	21.001	154.884	30.167	-	30.167
5.1	Share Certificates		-	-	-	-	-	-
5.2	Public Debt Securities		103.659	-	103.659	30.167	-	30.167
5.3	Other Marketable Securities		30.224	21.001	51.225	-	-	-
VI.	LOANS AND RECEIVABLES	(I-e)	8.464	1.110.947	1.119.411	404	226.546	226.950
6.1	Loans and Receivables		8.335	1.110.947	1.119.282	359	226.546	226.905
6.1.1	Bank's Risk Group		40	420.301	420.341	35	132.902	132.937
6.1.2	Public Debt Securities		-	-	-	-	-	-
6.1.3	Other		8.295	690.646	698.941	324	93.644	93.968
6.2	Non-Performing Loans		172	-	172	60	-	60
6.3	Specific Provisions (-)		(43)	-	(43)	(15)	-	(15)
VII.	FACTORING RECEIVABLES		-	-	-	-	-	-
VIII.	HELD-TO-MATURITY SECURITIES (Net)	(I-f)	-	-	-	-	-	-
8.1	Public Debt Securities		-	-	-	-	-	-
8.2	Other Marketable Securities		-	-	-	-	-	-
IX.	INVESTMENTS IN ASSOCIATES (Net)	(I-g)	-	-	-	-	-	-
9.1	Consolidated Based on Equity Method		-	-	-	-	-	-
9.2	Unconsolidated		-	-	-	-	-	-
9.2.1	Financial Investments in Associates		-	-	-	-	-	-
9.2.2	Non-Financial Investments in Associates		-	-	-	-	-	-
X.	SUBSIDIARIES (Net)	(I-h)	-	-	-	-	-	-
10.1	Unconsolidated Financial Subsidiaries		-	-	-	-	-	-
10.2	Unconsolidated Non-financial Subsidiaries		-	-	-	-	-	-
XI.	ENTITIES UNDER COMMON CONTROL (JOINT VENT.) (Net)	(I-i)	-	-	-	-	-	-
11.1	Consolidated Based on Equity Method		-	-	-	-	-	-
11.2	Unconsolidated		-	-	-	-	-	-
11.2.1	Financial Joint Ventures		-	-	-	-	-	-
11.2.2	Non-Financial Joint Ventures		-	-	-	-	-	-
XII.	FINANCIAL LEASE RECEIVABLES (Net)	(I-j)	-	-	-	-	-	-
12.1	Financial Lease Receivables		-	-	-	-	-	-
12.2	Operating Lease Receivables		-	-	-	-	-	-
12.3	Other		-	-	-	-	-	-
12.4	Unearned Income (-)		-	-	-	-	-	-
XIII.	HEDGING DERIVATIVE FINANCIAL ASSETS	(I-k)	-	-	-	-	-	-
13.1	Fair Value Hedge		-	-	-	-	-	-
13.2	Cash Flow Hedge		-	-	-	-	-	-
13.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XIV.	TANGIBLE ASSETS (Net)	(I-l)	8.905	-	8.905	9.026	-	9.026
XV.	INTANGIBLE ASSETS (Net)	(I-m)	-	-	-	-	-	-
15.1	Goodwill		-	-	-	-	-	-
15.2	Other		-	-	-	-	-	-
XVI.	INVESTMENT PROPERTY (Net)	(I-n)	-	-	-	-	-	-
XVII.	TAX ASSET	(I-o)	427	-	427	425	-	425
17.1	Current Tax Asset		-	-	-	-	-	-
17.2	Deferred Tax Asset		427	-	427	425	-	425
XVIII.	ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)	(I-p)	25	-	25	25	-	25
18.1	Held for Sale Purposes		25	-	25	25	-	25
18.2	Related to Discontinued Operations		-	-	-	-	-	-
XIX.	OTHER ASSETS	(I-r)	236	21	257	104	21	125
	TOTAL ASSETS		315.582	1.519.070	1.834.652	65.217	329.792	395.009

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET

	LIABILITIES	Note	31 December 2010			31 December 2009		
			TL	FC	Total	TL	FC	Total
I.	**DEPOSITS**	**(II-a)**	**189.536**	**273.173**	**462.709**	**484**	**124.325**	**124.809**
1.1	Deposits of Bank's Risk Group		166.719	180.901	347.620	108	51.395	51.503
1.2	Other		22.817	92.272	115.089	376	72.930	73.306
II.	**TRADING DERIVATIVE FINANCIAL LIABILITIES**	**(II-b)**	**-**	**-**	**-**	**-**	**-**	**-**
III.	**FUNDS BORROWED**	**(II-c)**	**-**	**41.548**	**41.548**	**-**	**21.755**	**21.755**
IV.	**MONEY MARKETS**		**-**	**-**	**-**	**-**	**-**	**-**
4.1	Funds from Interbank Money Market		-	-	-	-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-	-	-	-
V.	**MARKETABLE SECURITIES ISSUED (Net)**		**-**	**-**	**-**	**-**	**-**	**-**
5.1	Bills		-	-	-	-	-	-
5.2	Asset Backed Securities		-	-	-	-	-	-
5.3	Bonds		-	-	-	-	-	-
VI.	**FUNDS**		**-**	**-**	**-**	**-**	**-**	**-**
6.1	Borrower Funds		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	**SUNDRY CREDITORS**		**34.112**	**1.173.332**	**1.207.444**	**6**	**165.580**	**165.586**
VIII.	**OTHER LIABILITIES**	**(II-d)**	**488**	**15.526**	**16.014**	**394**	**4.851**	**5.245**
IX.	**FACTORING PAYABLES**		-	-	-	**-**	**-**	**-**
X.	**FINANCIAL LEASE PAYABLES (Net)**	**(II-e)**	-	-	-	**-**	**-**	**-**
10.1	Financial Lease Payables		-	-	-	-	-	-
10.2	Operational Lease Payables		-	-	-	-	-	-
10.3	Other		-	-	-	-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-	-	-	-
XI.	**HEDGING DERIVATIVE FINANCIAL LIABILITIES**	**(II-f)**	-	-	-	**-**	**-**	**-**
11.1	Fair Value Hedge		-	-	-	-	-	-
11.2	Cash Flow Hedge		-	-	-	-	-	-
11.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XII.	**PROVISIONS**	**(II-g)**	**1.383**	**1.175**	**2.558**	**698**	**782**	**1.480**
12.1	General Loan Loss Provision		98	1.175	1.273	28	782	810
12.2	Restructuring Provisions		-	-	-	-	-	-
12.3	Reserve for Employee Rights		529	-	529	470	-	470
12.4	Insurance Technical Provisions (Net)		-	-	-	-	-	-
12.5	Other Provisions		756	-	756	200	-	200
XIII.	**TAX LIABILITY**	**(II-h)**	**4.252**	**-**	**4.252**	**2.487**	**-**	**2.487**
13.1	Current Tax Liability		4.252	-	4.252	2.487	-	2.487
13.2	Deferred Tax Liability		-	-	-	-	-	-
XIV.	**PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)**	**(II-i)**	**-**	**-**	**-**	**-**	**-**	**-**
14.1	Held for Sale		-	-	-	-	-	-
14.2	Discontinued Operations		-	-	-	-	-	-
XV.	**SUBORDINATED LOANS**	**(II-j)**	-	-	-	**-**	**-**	**-**
XVI.	**SHAREHOLDERS' EQUITY**	**(II-k)**	**100.127**	**-**	**100.127**	**73.647**	**-**	**73.647**
16.1	Paid-in capital		53.655	-	53.655	53.655	-	53.655
16.2	Capital Reserves		517	-	517	415	-	415
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Marketable Securities Valuation Differences	**(II-l)**	517	-	517	415	-	415
16.2.4	Tangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.6	Revaluation differences of investment property		-	-	-	-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-	-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-	-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-	-	-	-
16.2.10	Other Capital Reserves		-	-	-	-	-	-
16.3	Profit Reserves		1.301	-	1.301	1.301	-	1.301
16.3.1	Legal Reserves		-	-	-	-	-	-
16.3.2	Status Reserves		-	-	-	-	-	-
16.3.3	Extraordinary Reserves		1.301	-	1.301	1.301	-	1.301
16.3.4	Other Profit Reserves		-	-	-	-	-	-
16.4	Profit or (Loss)		44.654	-	44.654	18.276	-	18.276
16.4.1	Prior Years' Income or (Loss)		18.276	-	18.276	-	-	-
16.4.2	Current Year Income or (Loss)		26.378	-	26.378	18.276	-	18.276
	TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		**329.898**	**1.504.754**	**1.834.652**	**77.716**	**317.293**	**395.009**

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

II. STATEMENT OF OFF-BALANCE SHEET CONTINGENCIES AND COMMITMENTS

		Note	31 December 2010			31 December 2009		
			TL	FC	Total	TL	FC	Total
A.	**OFF-BALANCE SHEET COMMITMENTS (I+II+III)**		**1.234**	**104.530**	**105.764**	**530**	**72.486**	**73.016**
I.	**GUARANTEES AND WARRANTIES**	**(IV-a-2, 3)**	**1.072**	**104.530**	**105.602**	**322**	**35.048**	**35.370**
1.1.	Letters of Guarantee		380	77.105	77.485	271	18.644	18.915
1.1.1	Guarantees Subject to State Tender Law		-	-	-	-	-	-
1.1.2	Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3	Other Letters of Guarantee		380	77.105	77.485	271	18.644	18.915
1.2.	Bank Acceptances		-	-	-	-	-	-
1.2.1	Import Letter of Acceptance		-	-	-	-	-	-
1.2.2	Other Bank Acceptances		-	-	-	-	-	-
1.3.	Letters of Credit		641	27.425	28.066	-	16.404	16.404
1.3.1	Documentary Letters of Credit		-	8.044	8.044	-	1.246	1.246
1.3.2	Other Letters of Credit		641	19.381	20.022	-	15.158	15.158
1.4	Prefinancing Given as Guarantee		-	-	-	-	-	-
1.5.	Endorsements		-	-	-	-	-	-
1.5.1	Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2	Other Endorsements		-	-	-	-	-	-
1.6	Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7	Factoring Guarantees		-	-	-	-	-	-
1.8	Other Guarantees		38	-	38	-	-	-
1.9	Other Collaterals		13	-	13	51	-	51
II.	**COMMITMENTS**	**(IV-a-1)**	**162**	**-**	**162**	**208**	**37.438**	**37.646**
2.1.	Irrevocable Commitments		162	-	162	208	37.438	37.646
2.1.1	Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2	Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3	Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4	Loan Granting Commitments		-	-	-	-	17.142	17.142
2.1.5	Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6	Commitments for Reserve Deposit Requirements		-	-	-	-	20.296	20.296
2.1.7	Commitments for Cheques		162	-	162	208	-	208
2.1.8	Tax and Fund Liabilities from Export Commitments		-	-	-	-	-	-
2.1.9	Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10	Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11	Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12	Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13	Other Irrevocable Commitments		-	-	-	-	-	-
2.2.	Revocable Commitments		-	-	-	-	-	-
2.2.1	Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2	Other Revocable Commitments		-	-	-	-	-	-
III.	**DERIVATIVE FINANCIAL INSTRUMENTS**	**(IV-b)**	**-**	**-**	**-**	**-**	**-**	**-**
3.1.	Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2.	Trading Transactions		-	-	-	-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5	Securities Options-Buy		-	-	-	-	-	-
3.2.3.6	Securities Options-Sell		-	-	-	-	-	-
3.2.4.	Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5.	Interest Rate Futures		-	-	-	-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6	Other		-	-	-	-	-	-
B.	**CUSTODY AND PLEDGES RECEIVED (IV+V+VI)**		**182**	**2.384**	**2.566**	**-**	**437**	**437**
IV.	**ITEMS HELD IN CUSTODY**		**182**	**2.315**	**2.497**	**-**	**370**	**370**
4.1	Customer Fund and Portfolio Balances		-	-	-	-	-	-
4.2	Investment Securities Held in Custody		-	-	-	-	-	-
4.3	Checks Received for Collection		182	2.315	2.497	-	370	370
4.4	Commercial Notes Received for Collection		-	-	-	-	-	-
4.5	Other Assets Received for Collection		-	-	-	-	-	-
4.6	Assets Received for Public Offering		-	-	-	-	-	-
4.7	Other Items Under Custody		-	-	-	-	-	-
4.8	Custodians		-	-	-	-	-	-
V.	**PLEDGES RECEIVED**		**-**	**69**	**69**	**-**	**67**	**67**
5.1	Marketable Securities		-	-	-	-	-	-
5.2	Guarantee Notes		-	69	69	-	67	67
5.3	Commodity		-	-	-	-	-	-
5.4	Warranty		-	-	-	-	-	-
5.5	Immovable		-	-	-	-	-	-
5.6	Other Pledged Items		-	-	-	-	-	-
5.7	Pledged Items-Depository		-	-	-	-	-	-
VI.	**ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES**		-	-	-	-	-	-
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		**1.416**	**106.914**	**108.330**	**530**	**72.923**	**73.453**

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

III. STATEMENT OF INCOME

	INCOME AND EXPENSE ITEMS	Note	1 January 2010 - 31 December 2010	1 January 2009 - 31 December 2009
I.	**INTEREST INCOME**	**(III-a)**	**40.946**	**25.572**
1.1	Interest on Loans	(III-a-1)	28.932	18.713
1.2	Interest Received from Reserve Requirements		-	-
1.3	Interest Received from Banks	(III-a-2)	5.723	3.062
1.4	Interest Received from Money Market Transactions		312	-
1.5	Interest Received from Marketable Securities Portfolio	(III-a-3)	5.971	3.773
1.5.1	Trading Financial Assets		-	-
1.5.2	Financial Assets at Fair Value Through Profit or Loss		-	-
1.5.3	Available-for-sale Financial Assets		5.971	3.773
1.5.4	Held-to-Maturity Investments		-	-
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		8	24
II.	**INTEREST EXPENSE**	**(III-b)**	**(19.281)**	**(9.745)**
2.1	Interest on Deposits	(III-b-4)	(3.689)	(1.095)
2.2	Interest on Funds Borrowed	(III-b-1)	(15.592)	(8.650)
2.3	Interest Expense on Money Market Transactions		-	-
2.4	Interest on Securities Issued	(III-b-3)	-	-
2.5	Other Interest Expenses		-	-
III.	**NET INTEREST INCOME (I + II)**		**21.665**	**15.827**
IV.	**NET FEES AND COMMISSIONS INCOME**		**15.162**	**9.846**
4.1	Fees and Commissions Received		15.197	9.861
4.1.1	Non-cash Loans		13.089	8.866
4.1.2	Other		2.108	995
4.2	Fees and Commissions Paid		(35)	(15)
4.2.1	Non-cash Loans		-	-
4.2.2	Other		(35)	(15)
V.	**DIVIDEND INCOME**	**(III-c)**	-	-
VI.	**TRADING INCOME/(LOSS) (Net)**	**(III-d)**	**4.086**	**2.117**
6.1	Trading Gains / (Losses) on Securities		30	-
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		4.056	2.117
VII.	**OTHER OPERATING INCOME**	**(III-e)**	**607**	**693**
VIII.	**TOTAL OPERATING INCOME (III+IV+V+VI+VII)**		**41.520**	**28.483**
IX.	**PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)**	**(III-f)**	**(587)**	**(72)**
X.	**OTHER OPERATING EXPENSES (-)**	**(III-g)**	**(7.856)**	**(5.541)**
XI.	**NET OPERATING INCOME/(LOSS) (VIII+IX+X)**		**33.077**	**22.870**
XII.	**EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER**		-	-
XIII.	**GAIN / (LOSS) ON EQUITY METHOD**		-	-
XIV.	**GAIN / (LOSS) ON NET MONETARY POSITION**		-	-
XV.	**PROFIT/(LOSS) FROM CONTINUED OPERATIONS BEFORE TAXES (XI+…+XIV)**	**(III-h)**	**33.077**	**22.870**
XVI.	**PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)**	**(III-i)**	**(6.699)**	**(4.594)**
16.1	Current Tax Provision		(6.830)	(4.448)
16.2	Deferred Tax Provision		131	(146)
XVII.	**NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)**		**26.378**	**18.276**
XVIII.	**INCOME FROM DISCONTINUED OPERATIONS**		-	-
18.1	Income on assets held for sale		-	-
18.2	Income on sale of associates, subsidiaries and entities under common control (Joint vent.)		-	-
18.3	Income on other discontinued operations		-	-
XIX.	**LOSS FROM DISCONTINUED OPERATIONS (-)**		-	-
19.1	Loss from assets held for sale		-	-
19.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
19.3	Loss from other discontinued operations		-	-
XX.	**PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)**		-	-
XXI.	**PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)**		-	-
21.1	Current Tax Provision		-	-
21.2	Deferred Tax Provision		-	-
XXII.	**NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)**		-	-
XXIII.	**NET PROFIT/LOSSES (XVII+XXII)**	**(III-j)**	**26.378**	**18.276**
	Earnings/(Loss) per share		0,4916	0,3406

The accompanying explanations and notes form an integral part of these financial statements.

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IV. STATEMENT OF PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY

	PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY	31 December 2010	31 December 2009
I.	**ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS**	**69**	**386**
II.	**TANGIBLE ASSETS REVALUATION DIFFERENCES**	**-**	**-**
III.	**INTANGIBLE ASSETS REVALUATION DIFFERENCES**	**-**	**-**
IV.	**CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS**	**-**	**-**
V.	**PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)**	**-**	**-**
VI.	**THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES**	**-**	**-**
VII.	**EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS**	**-**	**-**
VIII.	**OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS**	**-**	**-**
IX.	**DEFERRED TAX RELATED TO VALUATION DIFFERENCES**	**(25)**	**(51)**
X.	**NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)**	**44**	**335**
XI.	**CURRENT YEAR PROFIT/LOSS**	**58**	**(133)**
1.1	Net change in fair value of marketable securities (transfer to profit-loss)	58	(133)
1.2	Reclassification of cash flow hedge transactions and presentation of the related under income statement		-
1.3	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement		-
1.4	Other		-
XII.	**TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)**	**102**	**202**

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

V. STATEMENT OF CHANGES IN SHAREHOLDERS’ EQUITY

	PRIOR PERIOD 01.01.2009-31.12.2009	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders ’Equity
I.	**Prior Period Begining Balance**		**31.211**	**-**	**-**	**-**	**-**	**-**	**1.301**	**-**	**14.000**	**8.444**	**213**	**-**	**-**	**-**	**-**	**55.169**
II	**Corrections According to TAS 8**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.1	The Effect of Correction of Errors		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2	The Effects of Changes in Accounting Policy		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	**New Balance (I+II)**		**31.211**	**-**	**-**	**-**	**-**	**-**	**1.301**	**-**	**14.000**	**8.444**	**213**	**-**	**-**	**-**	**-**	**55.169**
	Changes during the period																	
IV.	**Increase/Decrease due to the Merger**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	**Marketable Securities Valuation Differences**	**(V-a)**	-	-	-	-	-	-	-	-	-	-	**202**	-	-	-	-	**202**
VI.	**Hedging Funds (Effective Portion)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	**Tangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	**Intangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	**Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	**Foreign Exchange Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	**The Disposal of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	**The Reclassification of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	**Effect of the Changes in Investment in Associates’ Equity to the Bank’s Equity**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	**Capital Increase**		**22.444**	-	-	-	-	-	-	-	-	**(22.444)**	-	-	-	-	-	-
14.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14.2	Internal Resources		22.444	-	-	-	-	-	-	-	-	(22.444)	-	-	-	-	-	-
XV.	**Share Premium**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	**Share Cancellation Profits**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	**Paid in-capital Adjustment Difference**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	**Other**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIX.	**Current Year Income or Loss**		-	-	-	-	-	-	-	-	**18.276**	-	-	-	-	-	-	**18.276**
XX.	**Profit Distribution**	**(V-c)**	-	-	-	-	-	-	-	-	**(14.000)**	**14.000**	-	-	-	-	-	-
20.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.2	Transfers to Reserves	**(V-b)**	-	-	-	-	-	-	-	-	(14.000)	14.000	-	-	-	-	-	-
20.3	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Period End Balance (I+….+XIV)		**53.655**	**-**	**-**	**-**	**-**	**-**	**1.301**	**-**	**18.276**	**-**	**415**	**-**	**-**	**-**	**-**	**73.647**

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY (Continued)

	CURRENT PERIOD 01/01/2010 – 31/12/2010	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	**Prior Period End Balance**		**53.655**	-	-	-	-	-	**1.301**	-	-	**18.276**	**415**	-	-	-	-	**73.647**
	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
II.	**Increase/Decrease due to the Merger**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	**Marketable Securities Valuation Differences**	(V-a)	-	-	-	-	-	-	-	-	-	-	**102**	-	-	-	-	**102**
IV.	**Hedging Funds (Effective Portion)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	**Tangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	**Intangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	**Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	**Foreign Exchange Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	**The Disposal of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	**The Reclassification of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	**Effect of the Changes in Investment in Associates' Equity to the Bank's Equity**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	**Capital Increase**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	**Share Premium**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	**Share Cancellation Profits**																	
XV.	**Paid in-capital Adjustment Difference**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	**Other**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	**Current Year Income or Loss**		-	-	-	-	-	-	-	-	**26.378**	-	-	-	-	-	-	**26.378**
XVIII.	**Profit Distribution**	(V-c)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.2	Transfers to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Period End Balance (I+….+XIV)		**53.655**	-	-	-	-	-	**1.301**	-	**26.378**	**18.276**	**517**	-	-	-	-	**100.127**

The accompanying explanations and notes form an integral part of these financial statements.

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VI. STATEMENT OF CASH FLOWS

	STATEMENT OF CASH FLOWS	Note	31 December 2010	31 December 2009
A.	**CASH FLOWS FROM BANKING OPERATIONS**			
1.1	Operating Profit before changes in operating assets and liabilities		27.906	17.566
1.1.1	Interest received		34.155	27.852
1.1.2	Interest paid		(12.059)	(10.905)
1.1.3	Dividend received		-	-
1.1.4	Fees and commissions received		15.197	9.861
1.1.5	Other income		637	693
1.1.6	Collections from previously written-off loans and other receivables		-	-
1.1.7	Payments to personnel and service suppliers		(3.959)	(3.105)
1.1.8	Taxes paid		(5.506)	(3.109)
1.1.9	Other		(559)	(3.721)
1.2	Changes in operating assets and liabilities		515.211	(3.322)
1.2.1	Net (increase) / decrease in trading financial assets		-	-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-	-
1.2.3	Net (increase) / decrease in banks		-	(3.284)
1.2.4	Net (increase) / decrease in loans		(888.198)	(49.942)
1.2.5	Net (increase) / decrease in other assets		(52)	(2.025)
1.2.6	Net increase in bank deposits		206.825	39.094
1.2.7	Net increase / (decrease) in other deposits		130.430	14.273
1.2.8	Net (decrease) in funds borrowed		13.216	(3.116)
1.2.9	Net increase / (decrease) in payables		-	-
1.2.10	Net increase in other liabilities		1.052.990	1.678
I.	**Net cash provided from banking operations**		**543.117**	**14.244**
B.	**CASH FLOWS FROM INVESTING ACTIVITIES**			
II.	**Net cash provided from investing activities**		**(122.344)**	**(6.039)**
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.3	Fixed assets purchases		(200)	(321)
2.4	Fixed assets sales		11	4
2.5	Cash paid for purchase of investments available-for-sale		(137.172)	(23.585)
2.6	Cash obtained from sale of investments available-for-sale		15.017	17.863
2.7	Cash paid for purchase of investment securities		-	-
2.8	Cash obtained from sale of investment securities		-	-
2.9	Other		-	-
C.	**CASH FLOWS FROM FINANCING ACTIVITIES**			
III.	**Net cash provided from financing activities**		**-**	**-**
3.1	Cash obtained from funds borrowed and securities issued		-	-
3.2	Cash used for repayment of funds borrowed and securities issued		-	-
3.3	Capital increase		-	-
3.4	Dividends paid		-	-
3.5	Payments for finance leases		-	-
3.6	Other		-	-
IV.	**Effect of change in foreign exchange rate on cash and cash equivalents**		**1.611**	**(31)**
V.	**Net increase in cash and cash equivalents (I + II + III + IV)**		**422.384**	**8.174**
VI.	**Cash and cash equivalents at beginning of the period**	(VI-a)	**128.192**	**89.480**
VII.	**Cash and cash equivalents at end of the period (V + VI)**	(VI-a)	**550.576**	**97.654**

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VII. PROFIT DISTRIBUTION TABLE

		31 December 2010	31 December 2009
I.	**DISTRIBUTION OF CURRENT YEAR INCOME (*)**		
1.1	Current Year Income	33.077	22.870
1.2	Taxes And Duties Payable (-)	(6.699)	(4.594)
1.2.1	Corporate Tax (Income tax)	(6.830)	(4.448)
1.2.2	Income withholding tax	-	-
1.2.3	Other taxes and duties (**)	131	(146)
A.	**NET INCOME FOR THE YEAR (1.1-1.2)**	**26.378**	**18.276**
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-)	-	-
B.	**NET INCOME AVAILABLE FOR DISTRIBUTION [(A+(1.3+1.4+1.5)]**	**26.378**	**18.276**
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	-
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
II.	**DISTRIBUTION OF RESERVES**		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	**EARNINGS PER SHARE**		
3.1	To Owners Of Ordinary Shares	0,4916	0,3406
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	**DIVIDEND PER SHARE**		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

(*)Board of Managers is authorized about the distrubution of the current period profit. As of date of these financial statements, the annual meeting of the Board of Managers has not been held.
(**)The amount in other taxes and duties is the deferred tax benefit that is not subject to profit distribution.

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As at 20 March 2010, the financial statements issued by the Headquarters of the Branch have been independently audited. The Headquarters of the Branch has not issued financial statements as at December 31, 2010 and December 31, 2009.

BANK MELLAT (IRAN)
CONSOLIDATED COMPARATIVE BALANCE SHEET
(THOUSANDS OF USD)

	CURRENT PERIOD (20 March 2010)	PRIOR PERIOD (20 March 2009) (*)
Cash and cash equivalents	558.373	516.672
Central bank	7.123.621	4.219.813
Other assets	49.048.707	39.155.805
Total Assets	**56.730.701**	**43.892.290**
Deposits	39.274.187	28.551.480
Other liabilities	15.355.186	13.416.477
Shareholders' equity	2.101.328	1.924.333
Total Liabilities	**56.730.701**	**43.892.290**

BANK MELLAT (IRAN)
CONSOLIDATED COMPARATIVE INCOME STATEMENT
(THOUSANDS OF USD)

	CURRENT PERIOD (20 March 2010)	PRIOR PERIOD (20 March 2009)
Total income	3.162.532	2.595.306
Interest expense on deposits	(2.232.858)	(1.613.968)
Other income	1.362.920	1.158.453
Total net income	2.292.594	2.139.792
Total expenses	(1.812.610)	(1.761.009)
Profit before tax	479.984	378.783
Taxes payable	(103.676)	(98.110)
Net Profit	**376.308**	**280.672**

(*)Restatements have been made.

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION:

The preparation of the financial statements and related notes and explanations in accordance with the Turkish Accounting Standards and Regulation on the Accounting Applications for Banks and Safeguarding of Documents:

The Branch maintains its books of accounts in Turkish lira in accordance with the Banking Act No. 5411 ("Banking Act"), which is effective from November 1, 2005, the Turkish Commercial Code and Turkish tax legislation.

The financial statements are prepared in accordance with the "Regulation on the Principles and Procedures Regarding Banks' Accounting Application and Keeping Documents" published in the Official Gazette No.26333 dated November 1, 2006, which refers to "Turkish Accounting Standards" ("TAS") and "Turkish Financial Reporting Standards" ("TFRS") issued by the "Turkish Accounting Standards Board" ("TASB") and additional explanations and notes to accounting and financial reporting principles (all "Turkish Accounting Standards" or "TAS") published by the Banking Regulation and Supervision Agency ("BRSA"). The format and content of the financial statements to be disclosed to the public and related notes to these financial statements have been prepared in accordance with the "Communiqué Regarding Financial Statements to be disclosed to the Public and Related Disclosures" published in the Official Gazette No.26430 dated February 10, 2007.

The financial statements have been prepared in TL, under the historical cost convention and in accordance with inflation accounting except for the financial assets and liabilities carried at fair value.

The preparation of financial statements in conformity with TAS requires the use of certain critical accounting estimates by the Branch management to exercise its judgment on the assets and liabilities of the balance sheet and contingent issues as of the balance sheet date. These estimates are being reviewed regularly and, when necessary, appropiate corrections are made and the effects of these corrections are reflected in the income statement.

The accounting policies and valuation methods adopted in the presentation of these financial statements are in accordance with TAS. These accounting policies and valuation methods are explained in Notes II. to XXVII.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS:

The Branch's operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey ("CBRT") in order to protect itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of December 31, 2010, rates used for translation of foreign currency balances into Turkish lira are TL1,5376 for USD, TL2,0551 for Euro and TL0,0189 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES:

As of December 31, 2010 and December 31, 2009, the Branch has no investments in associates and subsidiaries.

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS:

Derivative instruments are measured at fair value on initial recognition and are subsequently re-measured at their fair values. The accounting method of the income or loss arising from derivative instruments depends on the derivative being used for hedging purposes or not and depends on the type of the item being hedged. As of December 31, 2010, the Branch has no derivative instruments that qualify for hedging purposes.

The Branch has no forward transactions, options or other derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.

The Branch, ceases accruing interest income on non-performing loans and any interest income accruals from such loans are reversed and no income accounted until the collection is made according to the related regulation.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES:

All fees and commission income/expenses are recognised on an accrual basis, except for certain commission incomes and fees for various banking services which are accounted for as income at the time of collection. Borrowing fees and commission expenses paid to other financial institutions are recognised as operational costs and recorded using the "effective interest method". Contract based fees or fees received in return for services such as the purchase and sale of assets on behalf of a third party or legal person are recognised as income at the time of collection.

VII. EXPLANATIONS ON FINANCIAL ASSETS:

The Branch classifies and accounts its financial assets as "Fair value through profit or loss", "Available-for-sale", "Loans and receivables" or "Held-to-maturity". Sales and purchases of the financial assets mentioned above are recognised at the "settlement dates". The appropriate classification of financial assets is determined at inception according to Branch management's purpose of purchase.

a. Financial assets at fair value through profit or loss:

This category has two sub categories: "Trading financial assets" and "Financial assets designated at fair value through profit or loss at initial recognition."

Trading financial assets are financial assets which were either acquired for generating a profit from short-term fluctuations in prices or dealers' margin, or are financial assets included in a portfolio in which a pattern of short-term profit making exists.

Trading financial assets are initially recognised at fair value and are subsequently re-measured at their fair value. However, if fair values can not be obtained from the fair market transactions, it is accepted that the fair value cannot be measured reliably and financial assets are measured using the official prices announced by the CBRT. All gains and losses arising from these evaluations are recognised in the income statement. Interest earned while holding financial assets is reported as interest income and dividends received are included separately in dividend income.

Derivative financial instruments are classified as trading financial assets unless they are not designated as hedge instruments. The principles regarding the accounting of derivative financial instruments are explained in detail in Note IV. of Section Three.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS (Continued)

b. Loans and receivables:

Financial assets that are originated by the Branch by providing money, services or goods to borrowers are categorised as loans and receivables. Loans and receivables originated by the Branch are carried initially at cost and subsequently recognised at the amortised cost value calculated using the "effective yield method".

If the collectibility of any receivable is identified as limited or doubtful by the management through assessments and estimates, the Branch provides general and specific provisions for these loans and receivables in accordance with the "Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" published in the Official Gazette dated November 1, 2006, No.26333 and the "Communiqué regarding the changes in the Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" published in the Official Gazette No. 27119 dated January 23, 2009.

Provision expenses are deducted from the net income of the period. Uncollectible receivables are written-off after all the legal procedures are finalised. If there is a subsequent collection from a receivable that was already provisioned in the previous years, the recovery amount is deducted from specific provisions and included in the income statement.

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under "loans and receivables" with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the "effective yield method"; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which can not be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of December 31, 2010 and December 31, 2009.

d. Available-for-sale financial assets:

Financial assets available-for-sale consists of financial assets other than "Loan and receivables", "Held-to-maturity" and "Financial assets at fair value through profit or loss". Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders' equity as "Marketable securities value increase fund", unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders' equity are transferred to the income statement.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS:

Where the estimated recoverable amount of the financial asset, being the present value of the expected future cash flows discounted based on the "effective interest method", or the fair value if one exists is lower than its carrying value, then it is concluded that the asset under consideration is impaired. A provision is made for the diminution in value of the impaired financial asset and it is charged against the income for the year.

The principles regarding the accounting of provisions of loans and receivables are explained in detail in Note VII.b. of this section.

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS:

The Branch does not have any sales and repurchase agreements and securities lending transactions as of December 31, 2010 and December 31, 2009.

Securities subject to repurchase agreements ("repo") are classified as "Fair value difference through profit or loss", "Available-for-sale" and "Held-to-maturity" according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under "Funds Provided under Repurchase Agreements" in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the "effective interest method".

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

XI. EXPLANATIONS ON ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS AND EXPLANATIONS ON LIABILITIES RELATED WITH THESE ASSETS:

The Branch has no discontinued operations.

Assets held-for-resale consist of tangible assets that were acquired due to non-performing receivables, and are accounted in the financial statements in accordance with the "Communiqué Regarding the Principles and Procedures for the Disposals of Immovables and Commodities Acquired due to Receivables and for Trading of Precious Metal" published in the Official Gazette dated November 1, 2006, No.26333.

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill and other intangible assets at December 31, 2010 and December 31, 2009.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS:

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and provision for value decrease.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Furniture, fixture and vehicles	5 years

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the provision for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of December 31, 2010 and December 31, 2009.

XIV. EXPLANATIONS ON LEASING TRANSACTIONS:

The Branch has no leasing transactions as of December 31, 2010 and December 31, 2009.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with "Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets" ("TAS 37").

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a "contingent" liability exists and it is disclosed in the related notes to the financial statements.

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with “Turkish Accounting Standard for Employee Rights” (“TAS 19”) the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the goverment bonds at the balance sheet date.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution (“The Institution”) on behalf of the employees. The Branch has no other payment obligations to employees or “The Institution”. These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as “Short-Term Benefits to Employees” in accordance with “Turkish Accounting Standard for Employee Rights” (“TAS 19”) are accrued in the periods that they were entitled to and they can not be discounted.

XVII. EXPLANATIONS ON TAXATION:

a. Current tax:

“Corporate Tax Law”(“New Tax Law”) No.5520 was taken into effect after being published in the Official Gazette dated June 21, 2006 No.26205. Many clauses of the “New Tax Law” are effective from January 1, 2006. According to this Law, the corporate tax rate is 20% (2009: 20%). Corporate tax is calculated on the total income of the Bank after adjusting for certain disallowable expenses, exempt income and investments and other allowances. No further tax is payable unless the profit is distributed.

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after July 23, 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION (Continued)

a. Current Tax (Continued)

Corporations are required to pay advance corporate tax quarterly at a rate of 20% on their corporate income. Advance tax is declared by the 14th and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if temporary prepaid tax remains, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and immovable properties held for at least two years is tax exempt, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the twenty fifth day of the following fourth month after the closing of the accounting year to which they relate.

Tax returns are open for five years from the beginning of the year following the date of filing during which period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings.Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

b. Deferred tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12"). In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized.The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

XVIII. EXPLANATIONS ON BORROWINGS:

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

XIX. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates at as of December 31, 2010 and December 31, 2009.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XX. EXPLANATIONS ON ACCEPTANCES:

Avalized drafts and acceptances shown as liabilities against assets are included in the off-balance sheet commitments. The Branch has no acceptances at as of December 31, 2010 and December 31, 2009.

XXI. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of December 31, 2010 and December 31, 2009.

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE:

Earning per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned.

	December 31, 2010	December 31, 2009
Distributable Net Profit to Ordinary Shares	26.378	18.276
Weighted Average Number of Issued Ordinary Shares (Thousand)	53.655	53.655
Earnings Per Share (Disclosed in full TL for nominal shares)	**0,4916**	**0,3406**

In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. For the purpose of earnings per share computations, the weighted average number of shares outstanding during the year has been adjusted in respect of bonus shares issued without a corresponding change in resources by giving them a retroactive effect for the year in which they were issued and for each earlier period.

XXIV. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS:

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

XXVI. EXPLANATIONS ON SEGMENT REPORTING:

Informations related with fields of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Accounting Standards related with Segment Reporting" ("TAS 14") are disclosed.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Informations about the operating segments as of December 31, 2010 are presented on the table below.

	Retail Banking	**Corporate and Commercial Banking**	**Treasury**	**Other**	**Total operations of the Branch**
December 31, 2010					
Operating Revenue	(384)	29.898	12.006	-	41.520
Operating Revenue	**(384)**	**29.898**	**12.006**	**-**	**41.520**
Operating Profit	(880)	23.608	**10.351**	**-**	**33.077**
Profit Before Tax	-	-	-	-	**33.077**
Corporate Tax	-	-	-	-	(6.699)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	-	**26.378**
Segment Assets	129	1.119.282	705.627	-	1.825.038
Unallocated Assets	-	-	-	9.614	9.614
Total Assets	**129**	**1.119.282**	**705.627**	**9.614**	**1.834.652**
Segment Liabilities	6.063	1.705.638	-	16.014	1.727.715
Unallocated Liabilities	-	-	-	6.810	6.810
Shareholders' Equity	-	-	-	100.127	100.127
Total Liabilities	**6.063**	**1.705.638**	-	**122.951**	**1.834.652**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other	Total operations of the Branch
December 31, 2009					
Operating Revenue	(400)	22.048	6.835	-	28.483
Operating Revenue	**(400)**	**22.048**	**6.835**	**-**	**28.483**
Operating Profit	**(730)**	**17.866**	**5.734**	**-**	**22.870**
					-
Profit Before Tax	**-**	**-**	**-**	**-**	**22.870**
Corporate Tax	-	-	-	-	(4.594)
Minority Rights	-	-	-	-	-
Net Profit	**-**	**-**	**-**	**-**	**18.276**
Segment Assets	129	226.821	158.458	-	385.408
Unallocated Assets	-	-	-	9.601	9.601
Total Assets	**129**	**226.821**	**158.458**	**9.601**	**395.009**
Segment Liabilities	2.272	309.878	5.245	-	317.395
Unallocated Liabilities	-	-	-	3.967	3.967
Shareholders' Equity	-	-	-	73.647	73.647
Total Liabilities	**2.272**	**309.878**	**5.245**	**77.614**	**395.009**

XXVII. OTHER INFORMATION

The Branch has no other information as of December 31, 2010 and December 31, 2009.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION FOUR

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO:

The capital adequacy ratio of the Branch is 28,92% (December 31, 2009: 49,14%), which is higher than the minimum required ratio stipulated in the legislation.

The capital adequacy ratio of the Bank is calculated in accordance with the "Regulation Regarding the Measurement and Evaluation of Banks' Capital Adequacy Ratio" and "Regulation Regarding Banks' Shareholders Equity" published as of November 1, 2006 (together referred as "Regulation Regarding Capital Adequacy"). The following tables show the details of "risk weighted assets" and the calculation of "shareholders' equity" for the capital adequacy ratio calculation.

Information related to capital adequacy ratio:

	Risk Weights (1)				
	%0	**%10**	**%20**	**%50**	**%100**
Amount subject to credit risk					
Balance sheet items (Net)	**1.218.485**	**-**	**355.047**	**30.683**	**78.519**
Cash	7.529	-	-	-	-
Matured marketable securities	-	-	-	-	-
The Central Bank of the Republic of Turkey	49.711	-	-	-	-
Domestic, foreign banks, foreign head offices and branches	-	-	354.880	-	-
Interbank money market placements	34.000	-	-	-	-
Receivables from reverse repurchase transactions	-	-	-	-	-
Reserve requirements with the CBRT	104.456	-	-	-	-
Loans	1.011.480	-	-	30.447	68.791
Non-performing receivables (Net)	-	-	-	-	129
Lease receivables	-	-	-	-	-
Available-for-sale financial assets	-	-	-	-	-
Held-to-maturity investments	-	-	-	-	-
Receivables from the disposal of assets	-	-	-	-	-
Sundry creditors	-	-	-	-	35
Interest and income accruals	7.800	-	167	236	529
Investments in associates, subsidiaries and joint ventures (Net)	-	-	-	-	-
Fixed assets	-	-	-	-	8.848
Other assets	3.509	-	-	-	130
Off-balance sheet items	**1.116**	**-**	**-**	**-**	**61.728**
Non-cash loans and commitments	1.116	-	-	-	61.728
Derivative financial instruments	-	-	-	-	-
Non-risk weighted accounts					
Total Risk Weighted Assets	**1.219.601**	**-**	**355.047**	**30.683**	**140.247**

(1) There are no assets weighted with 150% and 200% risk.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Summary information about the capital adequacy ratio:

	December 31, 2010	December 31, 2009
Amount subject to credit risk "ASCR"	226.598	103.463
Amount subject to market risk "ASMR"	81.900	16.650
Amounts subject to operational risk "ASOR"	40.817	30.795
Shareholders' equity	101.011	**74.152**
Shareholders' equity /(ASCR+ASMR+ASOR) *100	**28,92**	**49,14**

Information about the shareholders' equity items:

CORE CAPITAL	December 31, 2010	December 31,2009
Paid-in capital	53.655	53.655
Nominal capital	53.655	53.655
Capital Commitments (-)	-	-
Inflation adjustment to share capital	-	-
Share premium	-	-
Share cancellation profits	-	-
Legal reserves	-	-
First legal reserve (Turkish Commercial Code 466/1)	-	-
Second legal reserve (Turkish Commercial Code 466/2)	-	-
Other legal reserve per special legislation	-	-
Status reserves	-	-
Extraordinary reserves	1.301	1.301
Reserves allocated by the General Assembly	-	-
Retained earnings	1.301	1.301
Accumulated loss	-	-
Foreign currency share capital exchange difference	-	-
Inflation adjustment of legal reserves, status reserves and extraordinary reserves	-	-
Profit	44.654	18.276
Current year profit (net)	26.378	18.276
Prior year profit	18.276	-
Provisions for possible risks (up to 25% of core capital)	-	-
Profit on disposal of associates, subsidiaries and immovables to be transferred to share capital	-	-
Primary subordinated loans up to 15% of core capital	-	-
Uncovered portion of loss with reserves (-)	-	-
Current period loss (net)	-	-
Prior periods loss	-	-
Special costs (-)	-	
Prepaid expenses (-) (1)	(80)	(52)
Intangible Assets (-) (1)	-	-
Deferred tax asset amount exceeding 10% of core capital (-)	-	-
Limit exceeding amount regarding the third clause of the article 56 of the Law (-)	-	-
Total Core Capital	**99.530**	**73.180**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

	December 31, 2010	December 31, 2009
SUPPLEMENTARY CAPITAL		
General Provisions	1.273	810
45% of the movables revaluation fund	-	-
45% of the immovables revaluation fund	-	-
Bonus shares of investment in associates, subsidiaries and joint ventures	-	-
Primary subordinated loans that are not considered in the calculation of core capital	-	-
Secondary subordinated loans	-	-
45 % of Marketable Securities valuation fund	233	187
From associates and subsidiaries	-	-
From financial Assets Available for Sale	233	187
Inflation adjustment of Capital Reserve, Profit Reserve and Prior Years' Income or Loss (Except inflation adjustment of Legal Reserves, Status Reserves and Extraordinary Reserves)	-	-
Total Supplementary Capital	**1.506**	**997**
TIER III CAPITAL	**-**	**-**
CAPITAL	**101.036**	**74.177**
DEDUCTIONS FROM THE CAPITAL	**25**	**25**
Investments in Unconsolidated Financial Institutions (Domestic, Foreign) and Banks in which 10% or more equity interest is exercised	-	-
Investments in Financial Institutions (Domestic, foreign) and Banks, in which less than 10% equity interest is exercised and that exceeds 10% of the total core and supplementary capital of the Bank	-	-
The Secondary Subordinated Loans extended to Banks, Financial Institutions (Domestic or Foreign) or Significant Shareholders of the Bank and the Debt Instruments That Have Primary or Secondary Subordinated Loan Purchased From Them	-	-
Loans extended as contradictory to articles 50 and 51 of the Law	-	-
The Net Book Value of Bank's Immovables That Are Over 50% of Shareholders' Equity and Immovables or Commodities That Are Received on behalf of the Receivables From Customers and are to be Disposed of Accordingly with Banking Law article 57 as they have been Held for More Than Five Years From the Acquisition Date	25	25
Other	-	-
TOTAL SHAREHOLDERS' EQUITY	**101.011**	**74.152**

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK:

a. This risk is monitored by reference to credit risk ratings and managed by limiting the aggregate risk to banks with high credibility rate and other financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans.

The credit worthiness of borrowers is monitored regularly in accordance with the related legislated financial statements and other financial reports taken from borrowers of extended loans.

b. At December 31, 2010, the Branch has no forward and option contracts or any other similar agreements.

c. At December 31, 2010, the Branch has been faced with an insignificant amount of credit risk exposure.

d. The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans matured, but not collected. Credit risk is defined broadly for contracts and positions bearing all types of cash and non-cash counterparty risk, and managed accordingly.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely followed.

e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.

f. The Branch is not active in international banking market.

g. 1. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (December 31, 2009: 100%).

2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (December 31, 2009: 100%).

3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is 63% (December 31, 2009: 56%).

h. The general provision amount provided for credit risk is TL1.273 thousand (December 31, 2009: TL810 thousand).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Distribution of the credit risk according to users and geographical regions:

	Loans granted to real persons and corporate entities		Loans granted to Banks and other financial Instutitions		Marketable Securities [1]		Other Loans [2]		Off Balance Sheet [2]	
	December 31, 2010	December 31, 2009	December 31, 2010	December 31, 2009	December 31, 2010	December 31, 2009	December 31, 2010	December 31, 2009	December 31, 2010	December 31, 2009
Loans concentration according to the type of borrowers										
Private Sector	9.030	8.849	16.938	-	51.225	-	-	-	72.682	19.577
Public Sector	-	-		-	103.659	30.167	-	-	-	-
Banks	-	-	1.093.285	217.940	-	-	355.035	97.316	32.485	52.944
Individual Customers	158	161	-	-	-	-		-	597	495
Share certificates	-	-	-	-	-	-	-	-	-	-
Total	**9.188**	**9.010**	**1.110.223**	**217.940**	**154.884**	**30.167**	**355.035**	**97.316**	**105.764**	**73.016**
Information according to geographical concentration										
Domestic	9.188	9.010	-	-	133.883	30.167	196.827	75.707	73.452	38.723
European Union Countries	-	-	-	-	-	-	2.918	16.674	-	-
OECD Countries [3]	-	-	-	-	-	-	3.017	1.362	-	-
Off-shore banking regions	-	-	-	-	-	-	-	-	-	-
USA, Canada	-	-	-	-	-	-	-	-	-	-
Other Countries	-	-	1.110.223	217.940	21.001	-	152.273	3.573	32.312	34.293
Total	**9.188**	**9.010**	**1.110.223**	**217.940**	**154.884**	**30.167**	**355.035**	**97.316**	**105.764**	**73.016**

(1) Consists of available-for-sale financial assets.
(2) Transactions defined as loans according to the article number 48 of the law number 5411 other than those on the first three columns of the UCA.
(3) OECD Countries other than EU countries, USA and Canada

j. Information according to geographical concentration:

	Assets	Liabilities	Non-cash loans	Capital Expenditures	Net profit
December 31, 2010					
Domestic	511.835	147.656	73.290	-	26.378
European Union Countries	2.918	-	-	-	-
OECD Countries [1]	3.017	815	-	-	-
Off-shore Banking Regions	-	-	-	-	-
USA, Canada	-	-	-	-	-
Other Countries	1.316.882	1.686.181	32.312	-	-
Associates, Subsidiaries and Joint ventures	-	-	-	-	-
Unallocated Assets/liabilities [2]	-	-	-	-	-
Total	**1.834.652**	**1.834.652**	**105.602**	**-**	**26.378**
December 31, 2009					
Domestic	155.460	22.528	18.219	398	18.276
European Union Countries	16.674	-	-	-	-
OECD Countries [1]	1.362	-	-	-	-
Off-shore Banking Regions	-	-	-	-	-
USA, Canada	-	-	-	-	-
Other Countries	221.513	298.834	17.151	-	-
Associates, Subsidiaries and Joint ventures	-	-	-	-	-
Unallocated Assets/liabilities [2]	-	-	-	-	-
Total	**395.009**	**321.362**	**35.370**	**398**	**18.276**

(1) OECD Countries other than EU countries, USA and Canada
(2) Unallocated assets/liabilities which could not be distributed according to a consistant principle

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Information on amounts that are exposed to credit risk:

	December 31, 2010	December 31, 2009
Balance sheet items that are exposed to credit risk:		
Bank placements	355.035	97.316
Loans and advances to customers	1.119.411	226.950
-Corporate	1.119.253	226.789
-Consumer	158	161
Trading Securities	-	-
-Public Securities	-	-
-Share certificates	-	-
-Other marketable securities	-	-
-Derivative financial instruments	-	-
Investment Securities	154.884	30.167
-Public Debt Securuties	103.659	30.167
-Share certificates	-	-
-Other marketable securities	51.225	-
Receivables from financial leasing	-	-
Other assets	257	125
Credit risk exposures relating to off-balance sheet items:		
Financial guarantees	105.589	35.319
Loan commitments and other credit related liabilities	13	51

l. Loans and other receivables past due:

December 31, 2010	Corporate Loans	Consumer Loans	Total
Past due up to 30 days	-	-	-
Past due 30-60 days	-	-	-
Past due 60-90 days	-	-	-
Total	**-**	**-**	**-**

December 31, 2009	Corporate Loans	Consumer Loans	Total
Past due up to 30 days	107	6	113
Past due 30-60 days	144	2	146
Past due 60-90 days	-	-	-
Total	**251**	**8**	**259**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

m. Debt securities, treasury bills and other eligible bills:

December 31, 2010 **Moody's Credit Rating Model**	**Financial Assets At Fair Value Through Profit Or Loss (Net)**	**Available-for-sale Financial Assets (Net)**	**Held to Maturity Investments (Net)**	**Total**
Aaa	-	-	-	-
Aa	-	-	-	-
A	-	-	-	-
Baa	-	-	-	-
Ba2 [(1)]	-	30.167	-	30.167
Total	**-**	**30.167**	**-**	**30.167**

(1) Securities consist of Republic of Turkey public bonds and treasury bills.

As of December 31, 2010 the Eurobond amounting to TL21.001 thousand was not rated and the bond amounting to TL30.224 thousand was rated by A- by JCR.

n. Sector concentrations for cash loans:

	December 31, 2010				**December 31, 2009**			
	TL	**(%)**	**FC**	**(%)**	**TL**	**(%)**	**FC**	**(%)**
Agricultural	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Farming and raising livestock	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	**-**	**-**	**-**	**-**	**-**	**-**	**87.557**	**38,65**
Mining	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	87.557	38,65
Electric, gas and water	-	-	-	-	-	-	-	-
Construction	**-**	**-**	**5.170**	**0,47**	**-**	**-**	**-**	**-**
Services	**4.445**	**53,33**	**1.088.840**	**98,01**	**57**	**15,88**	**117.239**	**51,75**
Wholesale and retail trade	-	-	-	-	57	15,88	49.127	21,68
Hotel, food and beverage services	-	-	-	-	-	-	-	-
Transportation and telecommunication	-	-	-	-	-	-	-	-
Financial Institutions	4.445	53,33	1.088.840	98,01	-	-	68.112	30,07
Real estate and renting services	-	-	-	-	-	-	-	-
Self-employment services	-	-	-	-	-	-	-	-
Education services	-	-	-	-	-	-	-	-
Health and social services	-	-	-	-	-	-	-	-
Other	**3.890**	**46,67**	**16.937**	**1,52**	**302**	**84,12**	**21.750**	**9,60**
Total	**8.335**	**100,00**	**1.110.947**	**100,00**	**359**	**100,00**	**226.546**	**100,00**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

III. EXPLANATIONS ON MARKET RISK:

The Branch defines the market risk as the fluctuations in its portfolio value with the changes in the parameters such as market prices, interest rate, currency rates and prices of common stocks. The measurement of market risk is significant for the Branch.

The Branch considers currency risk and interest rate risk as the main components of market risk. The table below shows how the market risk as of December 31, 2010 and 2009 is calculated in accordance with the Section 3 of the "Regulation Regarding Measurement and Evaluation of the Bank's Capital Adequacy Ratio", published in the Official Gazette No.26333 dated November 1, 2006, namely "Calculation of Market Risk with Standard Method".

a. Information on Market Risk:

	December 31, 2010	December 31, 2009
(I) Capital to be Employed for General Market Risk - Standard Method	923	257
(II) Capital to be Employed for Specific Risk - Standard Method	4.098	-
(III) Capital to be Employed for Currency Risk - Standard Method	1.531	1.075
(IV) Capital to be Employed for Commodity Risk - Standard Method	-	-
(V) Capital to be Employed for Settlement Risk - Standard Method	-	-
(VI) Capital to be Employed for Market Risk Due to Options - Standard Method	-	-
(VII) Total Capital to be Employed for Market Risk for Banks Applying Risk Measuring Model	-	-
(VIII) Total Capital to be Employed for Market Risk (I+II+III+IV+V+VI+VII)	6.552	1.332
(IX) Amount Subject to Market Risk 12,5xVIII) or (12,5xVII)	**81.900**	**16.650**

b. Market risk table of calculated market risk during the month ends:

	December 31, 2010			December 31, 2009		
	Average	Maximum	Minimum	Average	Maximum	Minimum
Interest Rate Risk	2.188	5.021	300	187	257	151
Share Certificates Risk	-	-	-	-	-	-
Currency Risk	1.303	1.531	1.089	1.021	1.140	860
Commodity Risk	-	-	-	-	-	-
Settlement Risk	-	-	-	-	-	-
Option risk	-	-	-	-	-	-
Total Amount Subject to Risk	**3.491**	**6.552**	**1.389**	**1.208**	**1.397**	**1.011**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

IV. EXPLANATIONS ON OPERATIONAL RISK:

The Bank calculates the amount subject to operational risk based on “Basic Indicator Method” by using 2009, 2008 and 2007 year-end gross income balances of the Bank, in accordance with Section 4 of the “Regulation Regarding Measurement and Evaluation of Banks’ Capital Adequacy Ratio” effective from June 1, 2007, published in the Official Gazette No. 26333 dated November 1, 2006, namely “The Calculation of the Amount Subject to Operational Risk”. As of December 31, 2010, the total amount subject to operational risk is TL40.817 thousand (December 31, 2009: TL30.795 thousand) and the amount of the related capital requirement is TL3.265 thousand (December 31, 2009: TL2.464 thousand).

V. EXPLANATIONS ON CURRENCY RISK:

Since floating exchange rates have been implemented, the Branch monitors its net foreign currency position continuously. The Branch does not have derivatives or net foreign currency investments to hedge its currency risk.

The Branch is taking a position according to the foreign currency basket of the CBRT to avoid foreign exchange risk. Foreign currency asset and liability management on price, liquidity and credit risks are performed in order to carry on profitability in the framework of the Branch’s targeted risk and return profile. Measurable and manageable risks are taken on the basis of the prudential ratios.

The Branch’s foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	USD	Euro	100 JPY
December 31, 2010	**TL1,5376**	**TL2,0551**	**TL1,8872**
December 30, 2010	TL1,5460	TL2,0491	TL1,8933
December 29, 2010	TL1,5567	TL2,0437	TL1,8912
December 28, 2010	TL1,5416	TL2,0406	TL1,8731
December 27, 2010	TL1,5403	TL2,0260	TL1,8567
December 24, 2010	TL1,5392	TL2,0204	TL1,8529

The simple arithmetical averages of the Branch’s foreign exchange bid rates for the last thirty days are:

USD:	TL1,5123
Euro:	TL1,9995
100 Japanese Yen:	TL1,8116

Sensitivity for currency risk:

The sensitivity of the Branch for a possible change in exchange rates has been analized. In the table below, a 10% change in USD, Euro and Japanese Yen has been projected.

	Change in Exchange Rates	Impact on Profit / Loss (1)	
		December 31, 2010	December 31, 2009
USD	10% increase	201	293
	10% decrease	(201)	(293)
Euro	10% increase	1.316	703
	10% decrease	(1.316)	(703)
Yen	10% increase	(19)	16
	10% decrease	19	(16)

(1) Before tax amounts have been presented.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

V. EXPLANATIONS ON CURRENCY RISK (Continued)

Information on the Branch's currency risk:

	Euro	USD	Yen	Other FC	Total
December 31, 2010					
Assets					
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	140.842	10.243	-	-	151.085
Banks	137.299	87.601	923	10.193	236.016
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-
Available-for-Sale Financial Assets	21.001				21.001
Loans and Receivables	538.664	-	10.038	565.711	1.114.413
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-	-
Held to Maturity Securities	-	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-	-
Tangible Assets	-	-	-	-	-
Intangible Assets	-	-	-	-	-
Other Assets	21	-	-	-	21
Total Assets	**837.827**	**97.844**	**10.961**	**575.904**	**1.522.536**
Liabilities					
Bank Deposits	173.280	16.461	1.094	15.456	206.291
Foreign Currency Deposits	63.883	2.379	1	619	66.882
Funds from Interbank Money Market	-	-	-	-	-
Borrowings	41.548	-	-	-	41.548
Marketable Securities Issued	-	-	-	-	-
Sundry Creditors	530.611	76.971	10.051	555.699	1.173.332
Hedging Derivative Financial Liabilities	-	-	-	-	-
Other Liabilities	15.348	21		157	15.526
Total Liabilities	**824.670**	**95.832**	**11.146**	**571.931**	**1.503.579**
Net On-Balance Sheet Position	**13.157**	**2.012**	**(185)**	**3.973**	**18.957**
Net Off Balance Sheet Position	-	-	-	-	-
Financial Derivative Assets	-	-	-	-	-
Financial Derivative Liabilities	-	-	-	-	-
Non-Cash Loans	**104.039**	**491**	-	-	**104.530**
December 31, 2009					
Total Assets	237.647	16.405	1.731	74.171	329.954
Total Liabilities	230.613	13.479	1.570	70.849	316.511
Net On-Balance Sheet Position	**7.034**	**2.926**	**161**	**3.322**	**13.443**
Net Off Balance Sheet Position	-	-	-	-	-
Financial Derivative Assets	-	-	-	-	-
Financial Derivative Liabilities	-	-	-	-	-
Non-Cash Loans	**34.347**	**701**	-	-	**35.048**

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position. Therefore, as of December 31, 2010, foreign currency indexed loans amounting to TL3.466 thousand (December 31, 2009: TL162 thousand) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL1.175 thousand (December 31, 2009: TL782 thousand) has also not been included in the table above.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

December 31, 2010	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	10.485	-	-	-	-	151.222	161.707
Banks	117.439	2.004	-	-	-	235.592	355.035
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	34.001	-	-	-	-	-	34.001
Available-for-Sale Financial Assets	-	53.011	69.801	32.072	-	-	154.884
Loans and Receivables	28.443	84.907	988.880	17.052	-	129	1.119.411
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets [(1)]	102	-	114	-	-	9.398	9.614
Total Assets	**190.470**	**139.922**	**1.058.795**	**49.124**	**-**	**396.341**	**1.834.652**
Liabilities							
Bank Deposits	1.001	100.435	-	-	-	291.359	392.795
Other Deposits	2.065	6.912	1.925	-	-	59.012	69.914
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	20.647	58.095	972.990	-	-	155.712	1.207.444
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	20.726	-	20.822	-	-	-	41.548
Other Liabilities [(2)]	16.010	3.760	-	41	-	103.140	122.951
Total Liabilities	**60.449**	**169.202**	**995.737**	**41**	**-**	**609.223**	**1.834.652**
Balance Sheet Long Position	**130.021**	**-**	**63.058**	**49.083**	-	**-**	**242.162**
Balance Sheet Short Position	**-**	**(29.280)**	**-**	**-**	-	**(212.882)**	**(242.162)**
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	**130.021**	**(29.280)**	**63.058**	**49.083**	-	**(212.882)**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

December 31, 2009	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	42	-	-	-	-	30.933	30.975
Banks and Other Financial Institutions	40.596	-	-	-	-	56.720	97.316
Financial Assets at Fair Value Through Profit or Loss (Net)	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-
Available-for-Sale Financial Assets (Net)	1.397	2.964	9.660	16.146	-	-	30.167
Loans and Receivables	21.349	31.067	174.381	108	-	45	226.950
Held to Maturity Securities (Net)	-	-	-	-	-	-	-
Other Assets (1)	-	-	-	-	-	9.601	9.601
Total Assets	**63.384**	**34.031**	**184.041**	**16.254**	**-**	**97.299**	**395.009**
Liabilities							
Bank Deposits	-	-	-	-	-	85.536	85.536
Other Deposits	4.392	6.456	1.384	-	-	27.041	39.273
Funds from Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	27.819	36.173	92.494	7.814	-	1.286	165.586
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	21.755	-	-	-	21.755
Other Liabilities (2)	5.245		-	-	-	77.614	82.859
Total Liabilities	**37.456**	**42.629**	**115.633**	**7.814**	**-**	**191.477**	**395.009**
Balance Sheet Long Position	**25.928**	**-**	**68.408**	**8.440**	**-**	**-**	**102.776**
Balance Sheet Short Position	**-**	**(8.598)**	**-**	**-**	**-**	**(94.178)**	**(102.776)**
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	**25.928**	**(8.598)**	**68.408**	**8.440**	**-**	**(94.178)**	**-**

(1) “Other Assets’’ line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders’ equity is presented under “Other liabilities” item in the “Non interest bearing” column.

Sensitivity for interest rates

	December 31, 2010	December 31, 2009
Change in interest rates		
(+) 1%	(850)	(172)
(-) 1%	866	173

The table above presents the possible effects of a change in interest rates by (+) 1% ve (-) 1% on current year profit and loss as of December 31, 2010 and 2009.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

V. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

December 31, 2010	**Euro**	**USD**	**Yen**	**TL**
	%	**%**	**%**	**%**
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	-	-	-	5,00
Banks	0,75	2,05	-	6,45
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	1,50
Available-for-Sale Financial Assets	8,16	-	-	7,95
Loans and Receivables	5,82	-	2,59	9,84
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	6,30
Other Deposits	3,29	2,58	-	7,50
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	3,05	-	2,62	7,62
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	2,09	-	-	-

December 31, 2009	**Euro**	**USD**	**Yen**	**TL**
	%	**%**	**%**	**%**
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	-	-	-	5,37
Banks	1,02	1,20	-	7,38
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	12,71
Loans and Receivables	6,78	8,17	3,00	9,98
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	-
Other Deposits	3,22	2,56	-	8,52
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	4,29	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	2,64	-	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK:

Liquidity risk arises from the mismatching of maturities of assets and liabilities. The Branch balances the maturities of the related assets and liabilities, keeps the mismatch of maturities under control. Major objective of the Branch’s asset and liability management is to ensure that sufficient liquidity is available to meet the Branch’s commitments to customers and to satisfy the Branch’s own liquidity needs.

The most important funding resources of the Branch for long-term and short-term liquidity needs are the Tehran Headquarters and other banks.

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified (1)	Total
December 31, 2010								
Assets								
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	57.251	104.456	-	-	-	-	-	161.707
Banks	304.859	48.172	2.004	-	-	-	-	355.035
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	34.001	-	-	-	-	-	34.001
Available-for-sale Financial Assets	-	-	36.172	65.637	53.075	-	-	154.884
Loans and Receivables	-	28.443	84.907	988.880	17.052	-	129	1.119.411
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets (1)	-	102	-	114	-	-	9.398	9.614
Total Assets	**362.110**	**215.174**	**123.083**	**1.054.631**	**70.127**	**-**	**9.527**	**1.834.652**
Liabilities								
Bank Deposits	291.359	1.001	100.435	-	-	-	-	392.795
Other Deposits	59.012	2.065	6.912	1.925	-	-	-	69.914
Funds Borrowed From Other Financial Institutions	-	20.726	-	20.822	-	-	-	41.548
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	155.712	20.647	58.095	972.990	-	-	-	1.207.444
Other Liabilities (2)	-	16.010	3.760	-	41	-	103.140	122.951
Total Liabilities	**506.083**	**60.449**	**169.202**	**995.737**	**41**	**-**	**103.140**	**1.834.652**
Net Liquidity Gap	**(143.973)**	**154.725**	**(46.119)**	**(58.894)**	**70.086**	**-**	**(93.613)**	**-**
December 31, 2009								
Total Assets	77.877	73.616	34.031	184.124	16.254	-	9.107	395.009
Total Liabilities	115.343	37.725	44.847	115.633	7.814	-	73.647	395.009
Net Liquidity Gap	**(37.466)**	**35.891**	**(10.816)**	**68.491**	**8.440**	**-**	**(64.540)**	**-**

(1) Assets that are necessary for banking activities and that can not be liquidated in the short-term, such as tangible assets, investments, subsidiaries, stationary, pre-paid expenses and non-perfomring loans, are classified in this column.

(2) Shareholders’ Equity is presented under the “Other Liabilities” item in the “Unallocated” column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL POSITION OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Breakdown of financial liabilities according to their remaining contractual maturities:

December 31, 2010	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	350.724	108.519	1.952	-	-	461.195
Funds Borrowed From Other Financial Institutions	20.749	-	21.017	-	-	41.766
Sundry Creditors (1)	20.668	58.416	999.272	-	-	1.078.356
Total	**392.141**	**166.935**	**1.022.241**	**-**	**-**	**1.581.317**

December 31, 2009	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	116.974	6.486	1.404	-	-	124.864
Funds Borrowed From Other Financial Institutions	-	-	22.001	-	-	22.001
Sundry Creditors (1)	29.155	36.380	103.083	-	-	168.618
Total	**146.129**	**42.866**	**126.488**	**-**	**-**	**315.484**

(1) Sundry Creditors include cash guarantees amounting to TL1.051.725 thousand (December 31, 2009:TL167.333 thousand) that have been obtained from Bank Mellat Iran Head Office in return for granting loans.

VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES:

The expected fair value of the demand deposits represents the amount to be paid upon request. The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates.

The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates. For the loans with floating interest rates, it is assumed that the carrying value reflects the fair value.

The following table summarises the carrying values and fair values of some financial assets and liabilities of the Branch. The carrying value represents the acquisition costs and accumulated interest accruals of corresponding financial assets or liabilities.

	Carrying Value		Fair Value	
	December 31, 2010	December 31, 2009	December 31, 2010	December 31, 2009
Financial Assets	**1.629.330**	**354.433**	**1.650.902**	**364.333**
Banks	355.035	97.316	355.112	97.320
Available-for-sale Financial Assets	154.884	30.167	154.884	30.167
Loans and Receivables	1.119.411	226.950	1.140.906	236.846
Financial Liabilities	**1.711.701**	**312.150**	**1.711.992**	**314.432**
Bank Deposits	462.709	124.809	462.216	125.060
Funds Borrowed From Other Financial Institutions	41.548	21.755	41.598	22.807
Sundry Creditors	1.207.444	165.586	1.208.178	166.565

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES (Continued)

TFRS 7, "Financial Instruments: Disclosures", requires classification of line items at fair value presented at financial statements according to the defined levels. These levels depend on the observability of data used during fair value calculations. Classification for fair value is generated as followed below:

Level 1: Assets or liabilities with prices recorded (unadjusted) in active markets

Level 2: Assets or liabilities that are excluded in the Level 1 of recorded prices directly observable by prices or indirectly observable derived through prices observable from similar assets or liabilities

Level 3: Assets and liabilities where no observable market data can be used for valuation

According to these classification principles stated, the Group's classification of financial assets and liabilities carried at their fair value are as follows:

December 31, 2010	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial Assets at Fair Value Through Profit or (Loss) (Net)	-	-	-	-
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	**154.884**			**154.884**
Public Debt Securities	103.659			103.659
Other Marketable Securities(1)	51.225			51.225
Total Assets	**154.884**			**154.884**
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-

IX. EXPLANATIONS ON ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PARTIES AND FIDUCIARY ASSETS

The Bank does not perform buying transactions on behalf of customers, and gives custody, administration and advisory services.

The Bank does not deal with fiduciary transactions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS:

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT):

1. Information related to cash and the account of CBRT:

	December 31, 2010		December 31, 2009	
	TL	**FC**	**TL**	**FC**
Cash	134	7.395	24	400
The CBRT	10.488	143.690	54	30.497
Other	-	-	-	-
Total	**10.622**	**151.085**	**78**	**30.897**

2. Information related to the account of the CBRT:

	December 31, 2010		December 31, 2009	
	TL	**FC**	**TL**	**FC**
Demand Unrestricted Account (1)	2	-	12	-
Time Unrestricted Account	-	-	-	-
Time Restricted Account	10.486	39.234	42	10.201
Reserve Requirement	-	104.456	-	20.296
Total	**10.488**	**143.690**	**54**	**30.497**

(1) The TL reserve requirement booked as average has been classified in "Central Bank Demand Unrestricted Account" based on the correspondence with BRSA as of January 3, 2008.

3. Information on reserve requirements:

In accordance with the "Communiqué Regarding the Reserve Requirements" numbered 2005/1and "Change in Communiqué Regarding the Reserve Requirements" numbered 2008/7 published in the Official Gazette numbered 27075 dated December 5, 2008, the banks operating in Turkey are supposed to place reserves in the CBRT for their TL liabilities by (6%) and for their foreign currency liabilities by (11%) as USD and/or EUR. As of December 31, 2010 the interest rate on reserves held with CBRT is 5,0% for TL, no interest is recognized on foreign currency reserve requirements.

b. Information on financial assets at fair value through profit or loss:

As of December 31, 2010, the Branch does not have any financial assets at fair value through profit or loss (December 31, 2009: None).

c. Information on banks:

1. Information on banks:

	December 31, 2010		December 31, 2009	
	TL	**FC**	**TL**	**FC**
Banks				
Domestic	119.019	43.964	24.988	50.719
Foreign	-	5.918	-	16.674
Head Quarters and Branches Abroad	-	186.134	-	4.935
Other Financial Institutions	-	-	-	-
Total	**119.019**	**236.016**	**24.988**	**72.328**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

c. Information on banks (Continued):

2. Information on foreign banks account:

	Unrestricted Amount		Restricted Amount	
	December 31, 2010	December 31, 2009	December 31, 2010	December 31, 2009
EU Countries	5.918	16.674	-	-
USA, Canada	-	-	-	-
OECD Countries [1]	-	-	-	-
Off-Shore Banking Regions	-	-	-	-
Other	-	-	-	-
Total	**5.918**	**16.674**	**-**	**-**

[1] OECD countries except EU countries, USA and Canada.

d. Information on available-for-sale financial assets, net:

1. As of December 31, 2010 there are no available for-sale-financial assets subject to repo transactions (December 31, 2009: None).

2. As of December 31, 2010 there are no available-for-sale financial assets given as collateral/blocked amount (December 31, 2009: None).

3. Information on available-for-sale financial assets:

	December 31, 2010	December 31, 2009
Debt Securities	154.884	30.167
Quoted on Stock Exchange	103.659	30.167
Not Quoted	51.225	-
Share Certificates	-	-
Quoted on Stock Exchange	-	-
Not Quoted	-	-
Impairment Provision (-)	-	-
Total	**154.884**	**30.167**

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	December 31, 2010		December 31, 2009	
	Cash	Non-cash	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders	-	-	-	-
Corporate Shareholders	-	-	-	-
Real Person Shareholders	-	-	-	-
Indirect Loans Granted to Branch's Shareholders	-	-	-	-
Loans Granted to Branch's Employees	146	65	134	30
Total	146	65	134	30

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Non Specialised Loans	**1.119.282**	-	-	-
Discount and Purchase Notes	376.781	-	-	-
Export Loans	5.170	-	-	-
Import Loans	-	-	-	-
Loans Granted to Financial Sector	716.504	-	-	-
Foreign Loans	16.938	-	-	-
Consumer loans	158	-	-	-
Credit cards	-	-	-	-
Precious Metal Loans	-	-	-	-
Other	3.731	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Total	**1.119.282**	-	-	-

3. Loans according to their maturity structure:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	**1.102.344**	-	-	-
Non-specialised Loans	1.102.344	-	-	
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	**16.938**	-	-	-
Non-specialised Loans	16.938	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards:

	Short-term	Long and medium term	Total
Consumer Loans - TL	**12**	**-**	**12**
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	12	-	12
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	**146**	**146**
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	3	3
Other	-	143	143
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	**12**	**146**	**158**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

5. (i) Information on loans by types and specific provisions:

December 31, 2010	Corporate Loans	Consumer Loans	Total
Standart loans	1.119.124	158	1.119.282
Non-Performing loans	172	-	172
Specific Provisions (-)	(43)	-	(43)
Total	**1.119.253**	**158**	**1.119.411**

December 31, 2009	Corporate Loans	Consumer Loans	Total
Standart loans	226.744	161	226.905
Non-Performing loans	60	-	60
Specific Provisions (-)	(15)	-	(15)
Total	**226.789**	**161**	**226.950**

(ii) Fair value of collaterals (Loans and advances given to customers):

December 31, 2010	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans	250	-	250
Total	**250**	**-**	**250**

December 31, 2009	Corporate Loans	Consumer Loans	Total
Watch listed	88	-	88
Non-Performing loans	74	-	74
Total	**162**	**-**	**162**

6. Information on commercial installment loans and corporate credit cards:

   The Branch has no commercial installment loans and corporate credit cards.

7. Loans according to type of borrowers:

	December 31, 2010	December 31, 2009
Public	-	-
Private	1.119.282	226.905
Total	**1.119.282**	**226.905**

8. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	December 31, 2010	December 31, 2009
Domestic Loans	385.840	8.965
Foreign Loans	733.442	217.940
Total	**1.119.282**	**226.905**

9. Loans granted to investments in associates and subsidiaries:

   As of December 31, 2010 there are no loans granted to investments in associates and subsidiaries (December 31, 2009: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

10.(i) Specific provisions provided against loans:

	December 31, 2010	December 31, 2009
Loans and other receivables with limited collectibility	-	-
Loans and other receivables with doubtful collectibility	-	-
Uncollectible loans and other receivables	(43)	(15)
Total	**(43)**	**(15)**

(ii) Provisions related to loans:

	Corporate Loans
January 1, 2010	**15**
Allowance for impairment	28
Amount recovered during the period	-
Loans written off during the period as uncollectible	-
Exchange differences	-
December 31, 2010	**43**

	Corporate Loans
January 1, 2009	**20**
Allowance for impairment	-
Amount recovered during the period	(5)
Loans written off during the period as uncollectible	-
Exchange differences	-
December 31, 2009	**15**

11. Information on non-performing loans (Net):

11(i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

11(ii) Information on the movement of total non-performing loans:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectibility	Loans and Other Receivables with Doubtful Collectibility	Uncollectible Loans and Other Receivables
December 31, 2009	-	-	60
Additions (+)	108	112	112
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	(108)	(112)	-
Collections (-)	-	-	-
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
December 31, 2010	-	-	172
Specific provisions (-)	-	-	(43)
Net Balance on Balance Sheet	-	-	129

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

11. Information on non-performing loans (Net) (Continued):

11(iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

11(iv) Information on non-performing loans according to user groups:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited	Loans and Other Receivables with Doubtful	Uncollectible Loans and Other Receivables
December 31, 2010 (Net)	-	-	**129**
Loans to real and legal persons (Gross)	-	-	172
Specific provisions (-)	-	-	(43)
Loans to real and legal persons (Net)	-	-	129
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
December 31, 2009 (Net)	-	-	**45**
Loans to real and legal persons (Gross)	-	-	60
Specific provisions (-)	-	-	(15)
Loans to real and legal persons (Net)	-	-	45
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

12. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that is proved as uncollectible.

f. Information on held-to-maturity securities:

As of December 31, 2010 and December 31, 2009, the Branch has no held-to-maturity securities.

g. Information on investments in associates (Net):

As of December 31, 2010 and December 31, 2009, the Branch has no investments in associates.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

h. Information on subsidiaries (Net):

As of December 31, 2010 and December 31, 2009, the Branch has no subsidiaries.

i. Information on joint ventures:

As of December 31, 2010 and December 31, 2009, the Branch has no joint ventures.

j. Information on finance lease receivables (Net):

As of December 31, 2010 and December 31, 2009, the Branch has no finance lease receivables.

k. Explanations on hedging derivative instruments:

As of December 31, 2010 and December 31, 2009, the Branch has no hedging derivative instruments.

l. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
December 31, 2009				
Cost	10.529	315	374	11.218
Accumulated depreciation	(1.973)	(42)	(177)	(2.192)
Net book value	**8.556**	**273**	**197**	**9.026**
December 31, 2010				
Net book value at beginning of the period	**8.556**	**273**	**197**	**9.026**
Additions	4	-	196	200
Disposals, net	-	(4)	(7)	(11)
Depreciation	(162)	(62)	(85)	(309)
Closing net book value	**8.398**	**207**	**300**	**8.905**
Cost at period end	10.533	311	533	11.377
Accumulated depreciation at period end	(2.135)	(104)	(233)	(2.472)
Closing net book value	**8.398**	**207**	**300**	**8.905**

m. Explanations on intangible assets:

As of December 31, 2010 and December 31, 2009, the Branch has no intangible assets.

n. Explanations on investment property:

As of December 31, 2010 and December 31, 2009, the Branch has no investment immovables.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

o. Explanations on deferred tax asset:

The Branch has no fiscal loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL427 thousand (December 31, 2009: TL425 thousand) on net basis to deferred tax assets.

	December 31, 2010		December 31, 2009	
	Tax Base	**Deferred Tax**	**Tax Base**	**Deferred Tax**
Property, equipment and intangibles, net	1.433	287	1.453	291
Reserves for employment termination benefit	529	106	470	94
Court case provision	171	34	200	40
Total deferred tax asset	-	**427**	-	**425**
Total deferred tax liability	-	-	-	-
Deferred Tax Asset, net	-	**427**	-	**425**

p. Explanations on assets held for resale:

As of December 31, 2010, the net book value of assets held for resale is TL25 thousand (December 31, 2009: TL25 thousand).

r. Explanations on other assets:

Other assets amount to TL257 thousand (December 31, 2009: TL125 thousand) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES:

a. Information on deposits

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) December 31, 2010:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	270	80	2	3	10	-	365
Foreign Currency Deposits	56.078	1.355	1.664	1.113	6.671	-	66.881
Residents in Turkey	20.055	400	683	361	203	-	21.702
Residents Abroad	36.023	955	981	752	6.468	-	45.179
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	2.489	3	-	-	-	-	2.492
Other Institutions Deposits	175	-	-	-	-	-	175
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	291.370	1.001	100.425	-	-	-	392.796
The CBRT	-	-	-	-	-	-	-
Domestic Banks	10	-	-	-	-	-	10
Foreign Banks	291.351	1.001	100.425	-	-	-	392.777
Special Finance Institutions	9	-	-	-	-	-	9
Other	-	-	-	-	-	-	-
Total	**350.382**	**2.439**	**102.091**	**1.116**	**6.681**	**-**	**462.709**

(ii) December 31, 2009:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	36	146	-	2	10	-	194
Foreign Currency Deposits	26.802	3.514	1.288	931	6.341	-	38.876
Residents in Turkey	11.421	438	760	196	206	-	13.021
Residents Abroad	15.381	3.076	528	735	6.135	-	25.855
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	187	-	-	-	-	-	187
Other Institutions Deposits	16	-	-	-	-	-	16
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	85.536	-	-	-	-	-	85.536
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	85.249	-	-	-	-	-	85.249
Special Finance Institutions	287	-	-	-	-	-	287
Other	-	-	-	-	-	-	-
Total	**112.577**	**3.660**	**1.288**	**933**	**6.351**	**-**	**124.809**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

a. Information on deposits

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	December 31, 2010	**December31, 2009**	**December 31, 2010**	**December 31, 2009**
Saving Deposits	203	173	163	21
Foreign Currency Saving Deposits	2.672	2.679	3.063	2.359
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities' Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (December 31, 2009: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	December 31, 2010	**December 31, 2009**
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Directors, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	241	169
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of December 31, 2010 and December 31, 2009, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

	December 31, 2010		December 31, 2009	
	TL	**FC**	**TL**	**FC**
Borrowings from the CBRT	-	-	-	-
From Domestic Bank and Institutions	-	-	-	-
From Foreign Banks, Institutions and Funds	-	41.548	-	21.755
Total	**-**	**41.548**	**-**	**21.755**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

c. Information on borrowings (Continued):

2. Information on maturity structure of borrowings:

	December 31, 2010		December 31, 2009	
	TL	FC	TL	FC
Short-term	-	41.548	-	21.755
Medium and Long-term	-	-	-	-
Total	**-**	**41.548**	**-**	**21.755**

The funding sources of the Branch are deposits and borrowings. Major funding sources are loans borrowed from the Headquarters and other Iranian financial institutions. Besides, as of December 31, 2010, in return for granting loans, the Branch has received cash guarantees from Bank Mellat Iran Head Office amounting to TL1.051.725 thousand (December 31, 2009: TL164.300 thousand), which has been recorded under sundry creditors on the balance sheet.

d. Information on other liabilities:

Other liabilities amount to TL16.014 thousand (December 31, 2009: TL5.245 thousand) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of December 31, 2010 and December 31, 2009, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (December 31, 2009: None).

g. Information on provisions:

1. Information on general provisions:

	December 31, 2010	December 31, 2009
General Provisions		
Provisions for Group I Loans and Receivables	900	518
Provisions for Group II Loans and Receivables	-	3
Provisions for Non Cash Loans	198	135
Other	175	154
Total	**1.273**	**810**

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

	December 31, 2010	December 31, 2009
Discount rate (%)	4,66	5,92
Rate for the Probability of Retirement (%)	96	98

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on provisions (Continued):

2. Information on reserve for employee rights (Continued):

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL2.623,23 (January 1, 2010: TL2.427,04) effective from January 1, 2011 has been taken into consideration in calculating the reserve for employment termination benefits.

Movements in the reserve for employment termination benefits during the periods are as follows:

	December 31, 2010	December 31, 2009
Prior Period Ending Balance	**372**	**237**
Provisions Recognised During the Period	80	135
Paid During the Period	(57)	-
Balance at the End of the Period	**395**	**372**

In addition as of , the Branch has provided a provision for unused vacation rights amounting to TL134 thousand (December 31, 2009: TL98 thousand).

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of December 31, 2010, the Branch has no provision related to foreign currency difference of foreign indexed loans (December 31, 2009: None).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of December 31, 2010, the Branch has no specific provision for non-cash loans (December 31, 2009: None).

5. Information on other provisions:

(i) Information on provisions for possible risks:

As of December 31, 2010 and December 31, 2009, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

In the second quarter of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of December 31, 2009 the Branch had prudently provided a provision amounting to TL200 thousand. Since some of the lawsuits has been resulted in 2010, the Branch has provided a provision amounting to TL171 thousand for remaning lawsuits. The remaining TL585 thousand provision is composed of the disciplinary punishment of Ministry of Finance. This provision is classified in the balance sheet under "Other Provisions".

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

h. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	December 31, 2010	December 31, 2009
Corporate Tax Payable	3.760	2.218
Taxation of Marketable Securities	180	104
Property Tax	-	-
Banking Insurance Transaction Tax (BITT)	130	32
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	8	2
Other	101	69
Total	**4.179**	**2.425**

(ii) Information on premium payables:

	December 31,2010	December 31, 2009
Social Security Premiums – Employee	27	23
Social Security Premiums – Employer	41	35
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	2	1
Unemployment Insurance – Employer	3	3
Other	-	-
Total	**73**	**62**

2. Information on deferred tax liability:

As of December 31, 2010 the Branch has no deferred tax liability (December 31, 2009: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (December 31, 2009: None).

j. Explanations on subordinated loans:

The Branch has no subordinated loans as of December 31, 2010 and December 31, 2009.

k. Information on shareholders' equity:

1. Presentation of paid-in capital:

Since the entity has the status of a branch, paid-in capital is not received in exchange for shares.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

k. Information on shareholders' equity (Continued):

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	53.655	53.655

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

   None (December 31, 2009: TL22.444 thousand).

4. Information on share capital increases from capital reserves in current period:

   None (December 31, 2009: None).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

   None (December 31, 2009: None).

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainities and their possible effects on shareholders' equity:

   There is no adverse change expected in the profitability and liquidty of the Branch.

7. Summarised information about privileges given to shares representing the capital:

   None (December 31, 2009: None).

l. Information on marketable securities value increase fund:

	December 31, 2010		December 31, 2009	
	TL	FC	TL	FC
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	517	-	415	-
Foreign Currency Difference	-	-	-	-
Total	**517**	-	**415**	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS:

a. Explanations on off-balance sheet commitments:

1. Type and amount of irrevocable commitments:

   As of December 31, 2010, all commitments of the Branch are irrevocable. The Branch's commitments for cheques is TL162 thousand (December 31, 2009: TL208 thousand).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

   The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments".

   (i). Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	December 31, 2010	December 31, 2009
Bank acceptance loans	-	-
Letters of credit	28.066	16.404
Other guarantees	51	51
Total	**28.117**	**16.455**

   (ii). Revocable, irrevocable guarantees and other similar commitments and contingencies:

	December 31, 2010	December 31, 2009
Revocable letters of guarantee	43	58
Irrevocable letters of guarantee	5.956	1.188
Letters of guarantee given in advance	71.486	16.999
Guarantees given to customs	-	670
Other letters of guarantees	-	-
Total	**77.485**	**18.915**

3. (i). Total amount of non-cash loans:

	December 31, 2010	December 31, 2009
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	105.602	35.370
Total	**105.602**	**35.370**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued):

a. Explanations on off-balance sheet commitments (Continued):

(ii) Information on sectoral risk concentrations of non-cash loans:

	December 31, 2010				December 31, 2009			
	TL	(%)	FC	(%)	TL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock.	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	**4**	**0,37**	**1.328**	**1,27**	**2**	**0,62**	**727**	**2,07**
Mining	-	-	31	0,03	-	-	54	0,15
Production	4	0,37	1.297	1,24	2	0,62	673	1,92
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	**550**	**0,53**	**1**	**0,31**	**574**	**1,64**
Services	**54**	**5,13**	**65.407**	**62,57**	**30**	**9,32**	**32.396**	**92,43**
Wholesale and Retail Trade	-	-	65.209	62,38	-	-	16.908	48,24
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	-	-	31	0,03	-	-	33	0,09
Financial Institutions	-	-	167	0,16	30	9,32	15.455	44,10
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	-	-	-	-	-	-	-	-
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	54	5,13	-	-	-	-	-	-
Other	**1.014**	**94,50**	**37.245**	**35,63**	**289**	**89,75**	**1.351**	**3,85**
Total	**1.072**	**100,00**	**104.530**	**100,00**	**322**	**100,00**	**35.048**	**100,00**

(iii). Information on non-cash loans classified in Group I and Group II:

December 31, 2010	**Group I**		**Group II**	
	TL	**FC**	**TL**	**FC**
Non- Cash Loans				
Letters of Guarantee	380	77.105	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	641	27.425	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	51	-	-	-
Total	**1.072**	**104.530**	**-**	**-**

December 31, 2009	**Group I**		**Group II**	
	TL	**FC**	**TL**	**FC**
Non- Cash Loans				
Letters of Guarantee	271	18.644	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	16.404	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	51	-	-	-
Total	**322**	**35.048**	**-**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued):

a. Explanations on off-balance sheet commitments (Continued):

(iv). Maturity distribution of non cash loans:

December 31,2010 (1)	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	128	27.938	-	-	28.066
Letter of Guarantee	61.869	15.616	-	-	77.485
Other	51	-	-	-	51
Total	**62.048**	**43.554**	-	-	**105.602**

December 31, 2009 (1)	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	56	16.348	-	-	16.404
Letter of Guarantee	941	17.941	33	-	18.915
Other	51	-	-	-	51
Total	**1.048**	**34.289**	**33**	**-**	**35.370**

(1) The distribution is based on the original maturities.

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of December 31, 2010 and December 31, 2009.

c. Explanations on contingent liabilities and assets:

In the second quarter of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of December 31, 2009 the Branch had prudently provided a provision amounting to TL200 thousand. Since some of the lawsuits has been resulted in 2010, the Branch has provided a provision amounting to TL171 thousand for remaning lawsuits. This provision is classified in the balance sheet under "Other Provisions".

d. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account. As of December 31, 2010 and 2009 the Branch has no trust transactions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT:

a. Information on interest income:

1. Information on interest income on loans:

	December 31, 2010		December 31, 2009	
	TL	FC	TL	FC
Short-Term Loans	80	27.737	124	18.564
Medium and Long-Term Loans	6	1.109	6	-
Interest on Non-Performing loans	-	-	17	2
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	**86**	**28.846**	**147**	**18.566**

2. Information on interest income on banks:

	December 31, 2010		December 31, 2009	
	TL	FC	TL	FC
From the CBRT	43	-	3	-
From Domestic Banks	4.008	1.653	2.044	863
From Foreign Banks	-	19	-	152
Headquarters and Branches Abroad	-	-	-	-
Total	**4.051**	**1.672**	**2.047**	**1.015**

3. Information on interest income on marketable securities:

	December 31, 2010		December 31, 2009	
	TL	FC	TL	FC
From Trading Financial Assets	-	-	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
From Available-for-Sale Financial Assets	4.740	1.231	3.773	-
From Held-to-Maturity Investments	-	-	-	-
Total	**4.740**	**1.231**	**3.773**	**-**

4. Information on interest income received from investments in associates and subsidiaries:

   The Branch has no interest income received from investments in associates and subsidiaries as of December 31, 2010 and December 31, 2009.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense:

1. Information on interest expense on borrowings:

	December 31, 2010		December 31, 2009	
	TL	FC	TL	FC
Banks	**205**	**15.387**		**8.650**
The CBRT	-	-	-	-
Domestic Banks	-	-	-	-
Foreign Banks	-	300	-	921
Headquarters and Branches Abroad	205	15.087	-	7.729
Other Institutions	-	-	-	-
Total	**205**	**15.387**	-	**8.650**

2. Information on interest expense given to investments in associates and subsidiaries:

   The Branch has no interest expense given to investments in associates and subsidiaries as of December 31, 2010 and December 31, 2009.

3. Interest expense on Securities Issued:

   The Branch has no interest expense given to securities issued as of December 31, 2010 and December 31, 2009.

4. Maturity structure of the interest expense on deposits:

   There are no deposits with seven days notification and accumulative deposits.

	Demand Deposits	Time Deposit					
		Up to 1 Month	Up to 3 Month	Up to 6 Month	Up to 1 Year	More than 1 Year	Total
TL							
Bank Deposits	315	2.078	-	-	-	-	**2.393**
Saving Deposits	21	8	-	-	1	-	**30**
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	-	-	-	-	-	-
Other Deposits	-	-	-	-	-	-	-
Total	**336**	**2.086**	**-**	**-**	**1**	**-**	**2.423**
FC							
Foreign Currency Deposits	-	34	76	28	227	-	**365**
Bank Deposits	779	122	-	-		-	**901**
Gold Vault							-
Total	779	156	76	28	227	-	**1.266**
Grand Total	1.115	2.242	76	28	228	-	**3.689**

c. Explanations on dividend income:

None (December 31, 2009: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

d. Explanations on trading loss/income (Net):

	December 31, 2010	December 31, 2009
Income	**6.001**	**4.029**
Income from Capital Market Transactions	30	-
Derivative Financial Transactions	-	-
Other	30	-
Foreign Exchange Gains	5.971	4.029
Loss (-)	**(1.915)**	**(1.912)**
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Loss	(1.915)	(1.912)
Net Income / Loss	**4.086**	**2.117**

e. Explanations on other operating income:

There are no extraordinary items included in other operating income.

f. Provision expenses related to loans and other receivables of the Branch:

	December 31, 2010	December 31, 2009
Specific Provisions for Loans and Other Receivables	27	-
III. Group Loans and Receivables	-	-
IV. Group Loans and Receivables	-	-
V. Group Loans and Receivables	27	-
General Provision Expenses	552	72
Provision Expense for Possible Risks	-	-
Marketable Securities Impairment Expense	8	-
Financial Assets at Fair Value Through Profit or Loss	-	-
Available-for-sale Financial Assets	8	-
Investments in Associates, Subsidiaries and Held-to-Maturity Securities Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Held–to-maturity Securities	-	-
Other	-	-
Total	**587**	**72**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

g. Information related to other operating expenses:

	December 31, 2010	December 31, 2009
Personnel Expenses	3.959	3.105
Reserve for Employee Termination Benefits	80	135
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	309	278
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	-	-
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	1.251	1.190
Operational Leasing Expenses	-	-
Maintenance Expenses	49	47
Advertisement Expenses	21	23
Other Expenses	1.181	1.120
Loss on Sales of Assets	-	-
Other	2.257	833
Total	**7.856**	**5.541**

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL21.665 thousand (December 31, 2009: TL15.827 thousand), net fee and commission income amounting to TL15.162 thousand (December 31, 2009: TL9.846 thousand) and total other operating expense amounting TL7.856 thousand (December 31, 2009: TL5.541 thousand).

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

   As of December 31, 2010, the Branch has a current tax expense of TL6.830 thousand (December 31, 2009: TL4.448 thousand) and deferred tax income of TL131 thousand (December 31, 2009: TL146 thousand expense).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

   The Branch calculated deferred tax income of TL154 thousand (December 31, 2009: deferred tax expence of TL73 thousand) due to the occurrence of temporary differences, deferred tax expense of TL23 thousand (December 31, 2009: deferred tax income of TL219 thousand) due to the closing of temporary differences with a net deferred tax income of TL131 thousand (December 31, 2009: TL146 thousand deferred tax expense).

3. Explanations on reflection of temporary difference, financial loss, diminution of tax and exceptions on income statement:

   As of December 31, 2010, the Branch has TL131 thousand deferred tax income due to the occurrence of temporary differences (December 31, 2009:TL146 thousand expense).

j. Explanations on net income/loss for the period:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

k. Other items do not exceed 10% of the total income statement.

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY:

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (December 31, 2009: None).

c. Information on capital increase:

None (December 31, 2009: TL22.444 thousand).

d. Explanations on available-for-sale financial assets:

"Unrealised gain/loss" arising from changes in the fair value of securities classified as available-for-sale are not recognised in current year profit or loss statement but recognised in the "Marketable securities value increase fund" account under shareholders' equity, until the financial assets are derecognised, sold, disposed of or impaired.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS:

a. Information on cash and cash equivalents:

1. Components of cash and cash equivalents and the accounting policy applied in their determination:

   Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents".

2. Effect of a change on the accounting policies: None.

3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

   (i). Information on cash and cash equivalents at the beginning of the year:

	December 31, 2010	December 31, 2009
Cash	**57.157**	**23.617**
Cash and Effectives	425	237
Demand Deposits in Banks	56.732	23.380
Cash Equivalents	**40.497**	**65.863**
Interbank Money Market Placements	-	-
Time Deposits in Banks	40.497	65.863
Total Cash and Cash Equivalents	**97.654**	**89.480**

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

(ii). Information on cash and cash equivalents at the end of year:

	December 31, 2010	December 31, 2009
Cash	**516.576**	**57.157**
Cash and Effectives	7.529	425
Demand Deposits in Banks	509.047	56.732
Cash Equivalents	**34.000**	**40.497**
Interbank Money Market Placements	-	-
Time Deposits in Banks	34.000	40.497
Total Cash and Cash Equivalents	**550.576**	**97.654**

b. Information on cash and cash equivalent assets of the Branch that are not available for free use due to legal restrictions or other reasons:

None (December 31, 2009: None).

c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:

Decrease in the "Other" item amounting to TL559 thousand (December 31, 2009:TL3.721 thousand decrease) which is classified under "Cash flows from banking operations"consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses.

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL1.611 thousand as of December 31, 2010 (December 31, 2009:TL31 thousand).

To conform to changes in presentation of financial statements as of December 31, 2010, the effects of the change in foreign exchange rates on cash and cash equivalents has been calculated as TL31 thousand and the related reclassifications have been made on comporative figures as of December 31, 2009.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP:

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. December 31, 2010:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
Branch's Risk Group [(1), (2)]	**Cash**	**Non-Cash**	**Cash**	**Cash**	**Non-Cash**	**Cash**
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	152.648	6.330
Balance at the End of the Period	-	-	-	-	621.744	16.172
Interest and Commission Income Received	-	-	-	-	**11.480**	**1.901**

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) The information in table above includes banks as well as loans.

2. December 31, 2009:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
Branch's Risk Group [(1), (2)]	**Cash**	**Non-Cash**	**Cash**	**Cash**	**Non-Cash**	**Cash**
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	152.198	6.200
Balance at the End of the Period	-	-	-	-	152.648	6.330
Interest and Commission Income Received	-	-	-	-	**8.163**	**1.031**

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

Branch's risk group [(1)]	**Investments in Associates, Subsidiaries and Joint Ventures**		**Direct and Indirect Shareholders of the Branch**		**Other Real and Legal Persons That Have Been Included in the Risk Group**	
Deposit	**December 31, 2010**	**December 31, 2009**	**December 31, 2010**	**December 31, 2009**	**December 31, 2010**	**December 31, 2009**
Balance at the Beginning of the Period	-	-	-	-	51.503	18.538
Balance at the End of the Period	-	-	-	-	347.620	51.503
Interest Expense on Deposits	-	-	-	-	**913**	**500**

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.
(2) As of December 31, 2010, the TL120.364 thousand of the TL347.620 thousand included in balance sheet Deposits – Risk Group is composed of Iran Central Bank.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued):

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period (Continued):

4. Information on borrowings from the Branch's risk group:

Branch's risk group [1]	Associates and subsidiaries		Direct and indirect shareholders of the Branch		Other items that have been included in the risk group[2]	
Borrowings	**December 31, 2010**	**December 31, 2009**	**December 31, 2010**	**December31, 2009**	**December 31, 2010**	**December 31, 2009**
Beginning of the Period	-	-	-	-	186.055	177.330
End of the Period	-	-	-	-	1.093.273	186.055
Interest Expense	**-**	**-**	**-**	**-**	**15.292**	**7.729**

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) Includes cash guarantees amounting to TL1.051.725 thousand (December 31, 2009: TL164.300 thousand) that have been obtained from Bank Mellat Iran Head Office in return for granting loans and TL41.548 thousand (December 31, 2009: TL21.755 thousand) from Iran Central Bank which has been classified under sundry creditors on the balance sheet.

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group:

   The Branch has no forward and option agreements and other similar derivative transactions as of December 31, 2010 and December 31, 2009.

6. Information on benefits provided to key management:

   As of December 31, 2010, benefits provided to the Branch's key management amount to TL1.245 thousand (December 31, 2009: TL810 thousand).

VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES AND FOREIGN REPRESENTATIVES OF THE BRANCH:

	Number	**Number of Employees**			
Domestic Branch	3	51			
			Country of Incorporation		
Foreign Rep. Offices	-	-	-		
				Total Assets	**Statutory Share Capital**
Foreign Branch	-	-	-	-	-
Off-Shore Banking Region Branch	-	-	-	-	-

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

None.

SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS:

None.

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT:

The unconsolidated financial statements as of December 31, 2010 have been audited by DRT Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. (a member of Deloitte Touche Tohmatsu).

The independent auditor's report dated April 20, 2011 is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR:

None.